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Politicizing consumer credit☆

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ABSTRACT

Powerful politicians can interfere with the enforcement of regulations. As such, expected political interference can affect constituents' behavior. Using rotations of Senate committee chairs to identify variation in political power and expected regulatory relief, we study powerful politicians' effect on consumer lending to communities protected by fair-lending regulations. We find a 7.5% reduction in credit access to minority neighborhoods in states with new committee chairs. Larger reductions occur in Community Reinvestment Act-eligible neighborhoods and when Senators serve on committees that oversee the enforcement of fair-lending laws. Banks headquartered in powerful Senators' states are responsible for the reduction in credit access.

1. Introduction

There is a growing consensus that political and governmental choices have a large influence on financial market outcomes. When studying the role of politics in finance, the literature generally focuses on how firms are affected by legislation (e.g., Duchin and Sosyura, 2012) or political connections (e.g., Faccio, 2006). In this literature, regulatory agencies are typically viewed as being mechanical enforcers of legislation that are beyond the reach of politics. However, regulatory agencies have considerable enforcement discretion and can be subject to outside influence from powerful politicians. Thus, the prospect of political interference with regulatory enforcement likely affects constituents' regard for regulations, a proposition this paper explores in the context of the US market for consumer credit.

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Anecdotal evidence suggests that powerful politicians can interfere with the actions taken by regulatory agencies. For example, in the Keating Five scandal of 1989, five US Senators were accused of improperly intervening with a regulatory investigation by the Federal Home Loan Bank Board (now the Office of Thrift Supervision) into the investment practices of Lincoln Savings and Loan.[1] Charles Keating, chairman of Lincoln and a campaign donor to the accused Senators, was famously quoted in April 1989:

> "One question, among many raised in recent weeks, had to do with whether my financial support in any way influenced several political figures to take up my cause. I want to say in the most forceful way I can: I certainly hope so."

Motivated by Keating's expectation of regulatory relief, this paper provides systematic evidence that constituents place less emphasis on complying with existing rules and regulations if they expect politicians to limit the scope of regulatory oversight or punishment. However, testing how the prospect of political interference affects constituents' behavior is challenging. Such tests require a regulatory benchmark that is free from reporting bias coupled with an exogenous source of variation in the amount of expected regulatory relief.

We confront these empirical challenges by connecting the market for consumer credit to changes in the political power of US Senators. The market for consumer credit is an ideal testing ground because there are several important fair-lending regulations, such as the Equal Credit Opportunity Act (ECOA) and the Community Reinvestment Act (CRA), that provide guidance for the amount of lending that "should" occur. These laws, while passed decades ago, continue to prove vital to securing credit access for historically disadvantaged communities (see, e.g., Begley and Purnanandam, 2018). Furthermore, the setting is ideal because some data sets allow us to connect banks' headquarters locations to Senator's states, thereby creating a tangible link between powerful Senators and the economic agents that decide how to comply with such fair-lending regulations.

We measure shocks to political power by examining turnover in Senate committee chairs. Committee chairs are powerful politicians who have been reelected several times (often by wide margins) and who have substantial influence over the scope of regulatory enforcement. Committee chairs' power comes from their outsized role in determining what legislation sees the Senate floor, their ability to schedule hearings and conduct investigations, and their ability to use "soft power" to influence the actions of the federal government. Moreover, because the selection of Senate committee chairs is determined by committee seniority, committee chair turnover is plausibly exogenous to contemporaneous state-level economic conditions. To illustrate, Daniel Inouye (D–HI) replaced Robert Byrd (D–WV) as chair of the Senate Appropriations Committee in 2009 after Byrd stepped down due to health problems. Inouye replaced Byrd because Senate rules dictate that the chair position passes to the next-longest-serving member of the committee from the same political party. Hence, Inouye (who joined the committee in 1971), rather than Barbara Mikulski (D–MD, who joined the committee in 1987), became chair due to events that happened decades before Inouye's ascension. Consistent with this identifying assumption, state-level macroeconomic variables such as income, employment, and house prices do not predict the 38 committee chair ascensions in our sample.

We begin our analysis by using the Federal Reserve Bank of New York Consumer Credit Panel/Equifax (FRBNY CCP/Equifax) data set because it tracks the near-population of consumer credit histories since 1999. We use a difference-in-differences framework to estimate the differential effects of committee chair ascensions on credit access to minority communities. We focus on minority communities because they are more likely to be protected by fair-lending regulations. We find that credit access, which we define as the ratio of new credit lines to credit inquiries and call *Supply ratio*, declines when states' Senators become committee chairs. This reduction in credit access is primarily concentrated in Census tracts that have a majority of minority residents, even after flexibly controlling for applicants' observed credit quality (credit scores and incomes). Subprime applicants experience this reduction in credit access, while prime applicants do not (lenders apply more subjective decision-making to subprime applications). The reduction in credit access is economically large. Majority-white Census tracts in states with new committee chairs experience a 3.3 percentage point decline in credit access, while majority-minority Census tracts experience a 6.0 percentage point decline. The sample average of *Supply ratio* is 0.46, which suggests that credit access falls by approximately 13% in majority-minority neighborhoods represented by newly powerful committee chairs.

The negative effect of political power on credit access is highly robust. Our estimates are unchanged when we include state-by-time or county-by-time fixed effects to control for current economic conditions. In addition, our estimates are stable over the sample period and are not caused by outlier states. We verify that our findings are not the result of preexisting trends in credit access by conducting a series of placebo regressions where we randomly draw false instances of committee chair turnovers and examine the distribution of placebo t-statistics. These placebo t-statistics are normally distributed and are centered around zero. Our estimates are also robust to using consumer-level fixed effects, which account for unobservable differences in borrower quality across constituencies. Finally, we use the Home Mortgage Disclosure Act (HMDA) lending disclosure data to connect these finding to the application decisions made by banks on a specific loan product (mortgages).

To verify that these credit access reductions are driven by banks changing their lending decisions when they have "political protection," we explore how changes in Senators' political power interacts with the organizational structure of banks by linking committee chairs to banks'

[1] The Keating Five example is not unique. Table A.1 in the Internet Appendix provides a list of recent regulatory scandals.

headquarters locations in the HMDA data. We find that banks headquartered in the same state as the newly powerful Senator are responsible for the reduction in credit access. These constituent banks reduce credit access to applicants in the Senator's state as well as to applicants from other states. In contrast, banks headquartered outside of the Senator's state do not reduce credit access to applicants from the Senator's state. Because the credit access reductions come from banks headquartered in the Senator's state and not from out-of-state banks, these tests provide tangible evidence of a political protection link between newly powerful Senators and the decision-making apparatus of constituent banks. These results suggest that banks' decisions to reduce credit access are made at headquarters and are then implemented throughout the organization.

We provide further evidence by linking the credit access reductions to consumers that would help banks satisfy CRA lending obligations. The CRA requires US commercial banks to extend credit to historically disadvantaged borrowers and is considered "quid pro quo for privileges such as the protection afforded by federal deposit agencies and access to the Federal Reserve's discount window."[2] Specifically, CRA loan eligibility applies to Census tracts with median personal incomes that are less than 80% of the metropolitan statistical area's (MSA) median income. We exploit this sharp geographic discontinuity and find a discontinuous reduction in credit access that begins precisely below the CRA eligibility threshold. As additional evidence, we use CRA exam ratings of banks provided by federal regulatory agencies and find that banks' ratings worsen when their home-state Senator becomes a committee chair. Finally, we show that the reduction in credit access is likely the result of banks' connections to politicians—the largest reductions in credit access occur in counties served by banks with a history of making campaign contributions to the new committee chair.

We further explore the scope of banks' expected regulatory relief by examining the effects of Senators who can directly influence the federal agencies that enforce fair-lending regulations. Several agencies—namely the Office of the Comptroller of the Currency (OCC), the Department of Justice, and the Federal Trade Commission—are responsible for the enforcement of fair-lending laws. These agencies are primarily overseen by Senators who serve on three committees: the Committee on Banking, Housing, and Urban Affairs; the Committee on the Judiciary; and the Committee on Commerce, Science, and Transportation (henceforth the Committee on Commerce). We find the largest declines in minority and CRA-eligble credit access occurs when Senators become powerful and serve on one of these three committees.

The reductions in lending to regulatory-protected borrowers have important effects on lenders' portfolios and profitability. All else equal, the loans banks are required to make under the CRA may be less profitable than other investment opportunities.[3] Hence, if banks no longer make these "required" loans, they can improve their overall performance by reallocating credit to other types of borrowers or other lending categories. In support of this argument, we find that higher quality borrowers receive a larger share of new loans after committee chair ascensions, and these borrowers have lower delinquency rates in subsequent years. We also find that banks' return on assets modestly increases after their Senator becomes a committee chair. Collectively, the preponderance of evidence suggests that banks expect political protection when their Senators become more powerful, which entices banks to curtail less profitable lending to disadvantaged borrowers.

The primary alternative explanation for our findings is that the reduction in consumer credit access is an unintended consequence of the increase in government spending and decrease in private sector investment shown by Cohen et al. (2011). This decrease in private sector investment suggests that banks may have fewer commercial and industrial (C&I) lending opportunities, which in turn can affect the supply of loans to consumers. If banks replace C&I loans with loans to other types of borrowers, we would expect consumer credit access to increase following Senators' ascensions. However, we find that consumer credit access decreases. On the other hand, if consumer lending complements C&I lending (e.g., there are economies of scale in bank operations), then we would expect a decline in C&I lending to be accompanied by a decline in consumer lending. However, we find no reductions in banks' total lending and no changes in the composition of banks' loan portfolios across lending categories, aside from a decline in real estate lending, which is consistent with the reduction in credit access we show.

The increase in government spending and decrease in private sector investment shown by Cohen et al. (2011) could also affect consumer credit outcomes by affecting labor markets. Cohen et al. (2011) find a 1% reduction in employment in Compustat firms starting three years after the ascension of a new committee chair. However, Compustat firms employ at most a third of the workforce (Davis et al., 2007), while our sample of individuals from the Equifax credit bureau is drawn from nearly the entire US adult population.

Using multiple data sets that are representative of the entire US population, we find no evidence that our results are driven by changes in local labor markets. First, we would expect adverse employment outcomes to reduce households' creditworthiness and cause an increase in demand for credit. Counter to this prediction, our main tests of Senate ascensions on credit access are robust to flexibly controlling for changes in consumer creditworthiness as a function of Senate ascensions (fixed effects for credit scores interacted with the Senate chair treatment variable). We also find no evidence that credit inquiries (a measure of credit demand) increase following chair ascensions. Second, we use two representative household-level data

[2] Prepared remarks by Ben Bernanke in 2007 at the Community Affairs Research Conference.

[3] Bankers concede that CRA-related loans are less profitable than alternative lending opportunities despite being riskier in nature (Agarwal et al., 2016) and effectively represent a "cost of doing business."

sets—the Panel Survey of Income Dynamics (PSID) and the Current Population Survey (CPS)—to directly test whether Senate chair ascensions affect household labor market outcomes. We do not find declines in employment or incomes following Senate chair ascensions in these data sets. Such findings suggest that the economic conditions of the average household are unaffected by Senate chair ascensions.

Our findings contrast with the literature's conventional view that politicians encourage expansions in credit access to increase their reelection chances (e.g., Alexis and Charles, 2016; Chavaz and Rose, 2019). In particular, the reductions in credit access we observe are unlikely to materially affect the reelection chances of the politicians in our sample. First, these politicians are highly entrenched: US Senators serve six-year terms, and incumbents win approximately 90% of reelection campaigns. Second, catering to constituent financial institutions may provide greater benefits to politicians than catering to constituent households. Indeed, we find that the largest reductions in credit access occur in neighborhoods where households are politically unengaged (as measured by household political contributions), and the effects are strongest in counties with banks that make political donations to the new committee chair. Finally, we find no evidence that the reduction in credit access is the result of politicians catering to traditional voting blocs—Democratic and Republican committee chairs are both associated with reductions in credit access.

Our paper contributes to the literature on politics and credit markets in several distinct ways. First, the existing empirical evidence supports the view that political influence is associated with increases in credit supply to households and firms (Mian et al., 2010; 2013; Alexis and Charles, 2016; Chavaz and Rose, 2019). More generally, several papers show that specific pieces of legislation have increased consumer credit access (Agarwal et al., 2015; 2017; 2018). In contrast with these papers, we examine how changes in political power affect consumers' credit access, and we find that increased political power decreases credit access to disadvantaged borrowers.

Furthermore, much of the political economy literature studies how connections to politicians affect legislative outcomes and the allocation of government resources. This literature shows that political connections affect government bailouts (Brown and Dinç, 2005; Faccio et al., 2006; Duchin and Sosyura, 2012) and financial deregulation (Liu and Ngo, 2014; Kroszner and Stratmann, 1998; Stratmann, 2002). Other papers study how firm-specific political connections affect bank lending, bank risk-taking, and municipal funding around elections (Claessens et al., 2008; Carvalho, 2014; Kostovetsky, 2015; Perignon and Vallée, 2017); how political connections affect access to government resources, such as government contracts (Goldman et al., 2009; 2013; Akey, 2015; Brogaard et al., 2018); or how political uncertainty impacts the economy (Julio and Yook, 2012; Jens, 2017). Our paper examines the effects of a different political mechanism—how the scope for political interference with regulatory enforcement affects constituents' behavior.

In studying this mechanism, our paper is most closely related to literature on the role of political influence and the malleability of regulatory agencies. Several papers document ways in which regulatory agencies make subjective decisions (Kroszner and Strahan, 1996; Agarwal et al., 2014; Kisin and Manela, 2017; Lambert, 2018), but fewer papers tie such subjectivity to features of the political economy. In particular, political considerations can affect the SEC's punishment of corporate financial misconduct, as well as the Department of Justice's (DOJ) and Federal Trade Commissions's (FTC) antitrust reviews of proposed corporate mergers (Mehta and Zhao, 2017; Mehta et al., 2017, respectively). While these papers provide evidence that politicians can affect regulators' decisions, we study how constituents change their behavior when they would expect regulatory relief. Fisman and Wang (2015) study workplace deaths in China to highlight how political connections affect compliance with workplace safety regulations. Though we consider a similar political mechanism, by studying the 3.8 trillion USD consumer credit market, we provide evidence on a much larger scale and in a setting generally thought to be free of political corruption. These aspects of our paper, relative to the existing literature, emphasize the substantial effect that political influence can have on market participants' behavior.

Finally, our paper offers new evidence on factors that determine the credit access and financial inclusion of economically disadvantaged households. This literature evaluates the role of local financial development (Celerier and Matray, 2019; Brown et al., 2019) and access to traditional and unconventional financial products on consumer outcomes (Melzer, 2011; McDevitt and Sojourner, 2016; Begley and Purnanandam, 2018); the effects of financial literacy on consumer credit outcomes (Lusardi and Mitchell, 2011; Brown et al., 2016); and the effects of cognitive biases on outcomes (e.g., Stango and Zinman, 2011). However, ours is among the first papers to study how politics affects credit access in conventional debt markets.

2. Political power in the US Senate

US Senators who chair Senate committees are among the most influential members of the federal government. Senate committees are responsible for specific areas of policy. Committee chairs are responsible for setting the committee's agenda. This allows chairs to dictate the legislative schedule and call hearings that would, for example, compel testimony from regulatory agencies. Furthermore, for a bill to become law, the bill must first be approved by the relevant committee(s) before moving to the floor of the Senate for a vote. Importantly, this gives the members of a committee—and particularly the committee's chair—substantial influence over the final content of legislation. Because of the vote-trading (known as "log-rolling") that is crucial to the functioning of the Senate (Cohen and Malloy, 2014), committee chairs are among the most influential members of the Senate, even on policy-making outside of a chair's committee.

Per Senate rules, the role of committee chair is filled by the Senator from the majority party with the longest continuous tenure on that committee, provided the Senator does not already chair another committee. These guidelines for succession have been in place for over 100

Table 1
Committee chair shock summary statistics.
This table presents the distribution of Senate committee chair "shocks" by election cycle for our main definition of a shock. Panel A provides details about the events that led to the shocks. Panel B presents statistics on the frequency of shocks per election cycle.

Panel A — Reasons for shocks	
Reason for change in chairmanship	Number
Previous chair changed committees	14
Change in control of congress where ranking member did not become chair	11
Previous chair left office	7
Previous chair had health problems	4
Other	2
Total Shocks	38
Panel B — Number of shocks by year	
1999–2000	5
2001–2002	4
2003–2004	7
2005–2006	9
2007–2008	1
2009–2010	8
2011–2012	4
Total shocks	38

years, and very few deviations have occurred (Collie and Roberts, 1992). Hence, the committee's line of succession is a deterministic function of member seniority, and seniority is, at any point in time, a historical artifact of political circumstances across all US states dating back decades. Furthermore, turnover in committee chairs can only be caused by the previous chair's resignation, reelection defeat, decision to chair a different committee, or a change in party control of the Senate. Given the deterministic nature of the Senate's rules for committee chair succession, current economic conditions in a new committee chair's state are plausibly unrelated to committee chair turnover.

3. Data

We introduce the various sources of data that we use in the paper.

3.1. Political data: Senate committee chairs

We obtain data on Senate Committee membership from the website of Charles Stewart III (see Edwards and Stewart III, 2006, for more details on this data). We then identify each Senate committee leadership change during our sample period (1999–2012).

In preparing this data, our goal is to create a sample of committee chair ascensions that is unlikely to be confounded by contemporaneous factors such as local economic conditions or changes in the preferences of voters. To do so, we only retain ascensions that occur for the following reasons: the previous chair changed committees, the previous chair left office, or the previous chair had health problems. Panel A of Table 1 presents the number of times each of these reasons has caused committee chair turnover. We exclude instances in which chair turnover is caused by changes in the party that controls the Senate. We do so because these turnover events are caused by changes in the political climate. However, we retain ascensions caused by changes in the party controlling the Senate if the committee's ranking member does not subsequently take over as committee chair (for example, due to retirement). We retain these ascensions because they are functions of both the historical timing of when Senators joined the committee and the creation of a new vacancy in the chair position and are therefore not mechanically driven by shifts in the political climate.[4] After applying these filters, our primary sample includes a total of 38 Senate committee chair ascensions between 1999 and 2012.

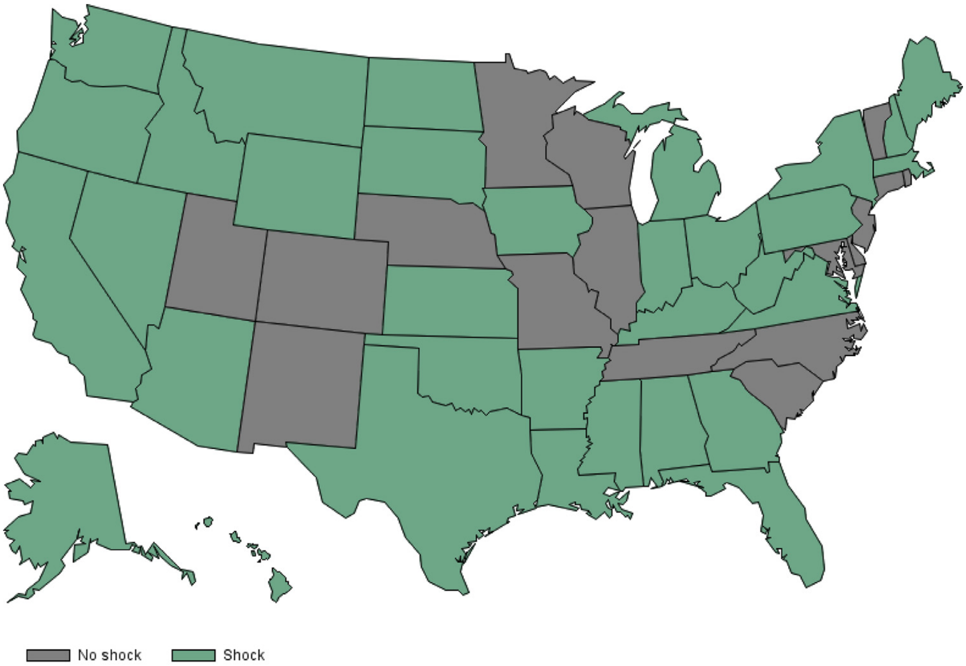
Despite imposing strict filters on the data, our sample of committee chair ascensions still contains at least one ascension in every Congressional cycle, is widely distributed across US states, and is nearly evenly divided between Democrats and Republicans. Panel B of Table 1 presents the number of committee chair ascensions per year. Fig. 1 shows the states in which Senators become a committee chair during the sample period. This map also sorts committee chair ascensions by political party affiliation. There is no clear pattern in the states that experience Senate committee chair ascensions during our sample period.

Using this sample of ascensions, we create a variable called *Powerful politician* that equals one in states that have had a Senator become a committee chair in the previous two years, and equals zero otherwise. We set the duration of the ascension event equal to two years because Congressional cycles last for two years. Like Cohen et al. (2011), we use a fixed event window because while becoming a committee chair is plausibly exogenous, the decision to remain chair is an endogenous decision of the politician. While Cohen et al. (2011) allow the effects of the ascension to last for six years, we restrict our post-ascension period to two years because, as Snyder and Welch (2017) argue, a longer duration can include years in which Senators endogenously give up the chair position due to retirement or a change in control of the Senate. We also remove all observations for borrowers or lenders in years three through six following a home-state Senator's ascension. This restriction ensures that consumers whose Senators retain chair positions beyond two years do not reenter the control group.

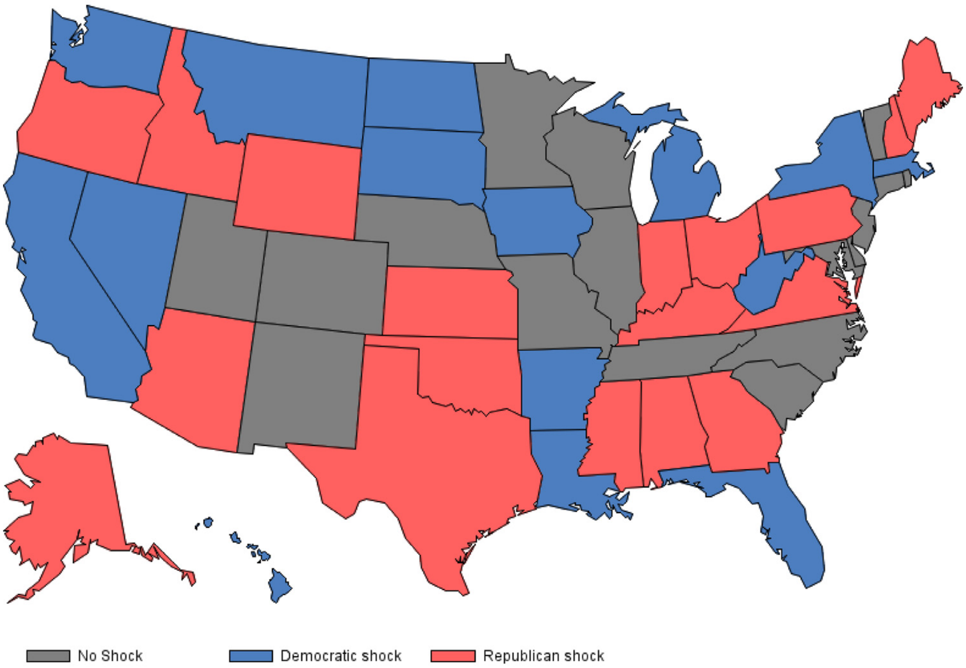
3.2. Consumer credit data: the FRBNY Consumer Credit Panel/Equifax

Our first source of data on consumer credit is the FRBNY CCP/Equifax data set. The FRBNY CCP/Equifax is a longitudinal panel data set that tracks household liabilities

[4] There are three election cycles with events satisfying this criteria: (i) Jim Jeffords (I-VT) switching parties in 2001, which created a narrow 51–49 Democratic majority (Jayachandran, 2006); (ii) the ensuing 2002 elections, in which the Republican party narrowly recaptured a 51–49 majority despite both winning and losing seats; and (iii) one event in the 2006 election cycle. A detailed description of these events is contained in the Internet Appendix. We have confirmed in untabulated results that our results are not driven by the inclusion of these events in our sample.



(a) Committee chair shocks.



(b) Committee chair shocks by political party.

Fig. 1. Senate committee chair shock distribution.
Panel (a) presents the state distribution of our primary shock measure. Panel (b) presents the shock distribution by political party. See text for details about the shock construction.

using a 5% randomized sample of individuals with a social security number and a credit report on file at Equifax.[5] The data start in 1999Q1 and are collected quarterly thereafter (our sample ends in 2012Q4). The FRBNY CCP/Equifax re-samples the population in every quarter to add individuals with new credit reports and to drop the deceased. The data are therefore representative in every quarter. Brown et al. (2016) validate the FRBNY CCP/Equifax by showing that its coverage of US household liabilities compares favorably to nationally representative surveys such as the Flow of Funds Accounts and the Survey of Consumer Finances.

There are several reasons why the FRBNY CCP/Equifax is particularly well-suited to studying the relation between changes in political power and consumer credit access. First, the data set follows individual consumers for the entire sample period. This allows us to estimate the effects of political power while using individual-level fixed effects to control for unobservable differences in borrower quality. Second, the FRBNY CCP/Equifax has good coverage of individuals who have had difficulty obtaining credit. For example, a consumer who was denied a loan in 1999 will remain in the data set in subsequent years even if they never again apply for credit. Third, the FRBNY CCP/Equifax data offer an unbiased view of precise geographies, including rural areas. This allows our analysis to consider within-state changes in the composition of consumer credit.

The primary shortcoming of the FRBNY CCP/Equifax data set, relative to other household surveys, is that it does not contain much consumer demographic information due to federal fair-lending and privacy laws. To alleviate this gap in the data, we merge the FRBNY CCP/Equifax with Census tract demographics from the 2000 US Census (the FRBNY CCP/Equifax uses geocodes to continue to assign consumers to 2000 Census tract locations even after the 2010 Census). Because Census tracts include a small population (the target size of a Census tract is 4000 people), this merge allows us to precisely and reliably estimate demographic and socioeconomic characteristics of the consumers in our data.

We measure consumers' access to credit during each quarter by calculating the number of new credit lines obtained by the consumer divided by the number of hard credit inquiries on the consumer's credit report, a variable we call *Supply ratio* (Table 2 presents summary statistics). Bhutta and Keys (2016) and Brown et al. (2019) show that *Supply ratio* varies significantly over time and geographically in a manner that reflects the tightening and loosening of credit supply. Though *Supply ratio* has desirable properties, the FRBNY CCP/Equifax unfortunately does not specify the type of loan for which the credit inquiry was obtained.

3.3. Application data from the Home Mortgage Disclosure Act

To address potential shortcomings with our *Supply ratio* measure, we augment our analysis with data on the near-universe of mortgage loan applications from the HMDA Loan/Applicant Register. Specifically, *Supply ratio* cannot distinguish a denied loan application from an approved application that was not taken up by the applicant. On the other hand, HMDA directly indicates the application outcome. The data indicate whether the loan was originated, whether the application was approved by the financial institution but not accepted by the applicant, or whether the loan was denied by the financial institution. The HMDA data also have the advantage of matching the loan application to lending institutions. However, unlike the FRBNY CCP/Equifax, the HMDA data do not track borrowers over time or provide information on the creditworthiness of the mortgage applicant.

For our analysis of the HMDA data, we take a 5% random sample. We then restrict the 5% sample to applications for owner-occupied loans, home purchases, or refinances and keep only approved or denied applications. This creates a sample of roughly 7.7 million applications. In addition, we use a concordance file provided by Robert Avery of the Federal Housing Agency to link the lending institutions in HMDA to lenders' state of incorporation. After doing so, we can tie 3.8 million applications to lenders' headquarters states.

3.4. Political data: campaign contributions

We use data on contributions made by individuals to Senators' campaigns and banks to Senators' political action committees (PACs). We obtain PAC contributions from the US Federal Election Commission (FEC) for all federal elections from 1998–2010.[6] For each election cycle, we obtain individual (personal) political donations to Senators at the ZIP code level and donations by bank PACs at the bank-headquarter level. Because corporations are prohibited from donating directly to political causes, we examine donations made by bank PACs to Senators' election campaigns. We consider a bank to have initiated a connection to a Senator if its PAC made contributions to the Senator before he or she became committee chair.

3.5. Banking and bank exam data

We use banking data to assess bank performance and to examine whether consumer credit access changes more in areas with many politically-connected banks. We begin by obtaining the precise geographic locations of all US bank branches using the Federal Deposit Insurance Corporation's (FDIC) annual Summary of Deposits (SOD) report, which reports the total deposits held by each local bank branch. We define a bank to be affected by a new committee chair ascension if the bank operates at least one branch in the committee chair's state. We define bank branches as "politically connected" if the branch's parent holding company

[5] Technically, the sample is randomized by using five pairs of arbitrarily selected digits at the end of an individual's social security number.

[6] FEC data are transaction-level data organized by election cycle. Political contribution data are available from the FEC, the Center for Responsive Politics, or the Sunlight Foundation. The latter two organizations are non-partisan, non-profit organizations that assemble and release government data sets to further the public interest.

Table 2
Summary statistics.
This table presents summary statistics for our main variables of interest. Panel A presents summary statistics for consumer-level variables from the FRBNY CCP/Equifax as well as mortgage application data from the Home Mortgage Disclosure Act (HMDA) filings obtained through the Federal Financial Institutions Examination Council (FFIEC). We include two HMDA samples. The first assigns Senators to the location of the property in the loan application. The second sample assigns Senators to the banks' headquarters using a concordance provided by Robert Avery at the Federal Housing Finance Agency. Panel B presents summary statistics for banks using data from the FFIEC 031/041 reports, otherwise known as the "Call Reports." Panel C presents summary statistics for Community Reinvestment Act examinations using data from the FFIEC. We also obtain data on Senate committee assignments from the website of Charles Stewart III (details in Edwards and Stewart III, 2006), which we then merge with the data sets in each panel. Details of variable construction can be found in Section 3.

Panel A — Consumer-level variables					
Sample: Consumer Equifax Risk Score < 640, consumer-qtr observations					
	Mean	Median	Std. dev.	N	Source
Supply ratio	0.46	0.200	0.751	890,271	FRBNY CCP/Equifax
Equifax Risk Score	551.9	564	64.67	890,271	FRBNY CCP/Equifax
Census tract median income	41,635	38,618	16,607	890,046	Census
Majority minority	0.221	–	–	890,271	Census
CRA eligible	0.296	–	–	723,612	Census
Powerful politician	0.125	–	–	890,271	Edwards and Stewart III (2006)
Sample: HMDA applicant-location-matched shocks, number of applications					
Approval rate	0.683	–	–	7,696,403	HMDA
Majority minority	0.127	–	–	7,696,403	Census
Applicant income	88,420	64,000	131,300	7,279,468	HMDA
Powerful politician	0.108	–	–	7,696,403	Edwards and Stewart III (2006)
Sample: HMDA bank-matched shocks, number of ppplications					
Approval rate	0.67	–	–	3,755,432	HMDA
Minority applicant	0.157	–	–	3,755,432	HMDA
Applicant income	81,490	60,000	133,600	3,509,395	HMDA
Powerful politician (constituent bank loans)	0.106	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (other loans in state)	0.104	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (w/in state applicant)	0.0311	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (out-of-state applicant)	0.0747	–	–	3,755,432	Edwards and Stewart III (2006)
Panel B — Bank-level variables					
	Mean	Median	Std. dev.	N (bank-qtr)	Source
Ln (assets)	12.05	11.70	1.87	453,695	Call Reports
Annualized ROA (%)	1.56	1.58	1.50	453,695	Call Reports
Real estate loans (% of total)	64.6	67.4	20.7	451,288	Call Reports
Commercial loans (% of total)	20.4	15.8	18.2	451,288	Call Reports
Consumer loans (% of total)	10.2	7.1	11.6	451,288	Call Reports
Panel C — Bank Community Reinvestment Act exam variables					
Exam score	Number	Percent			Source
Outstanding	3,348	11.7			FFIEC
Satisfactory	24,637	86.4			
Needs improvement	466	1.6			
Substantial noncompliance	67	0.2			
Regulator conducting exam					
OCC	5,103	17.9			FFIEC
FRB	3,794	13.3			
FDIC	17,272	60.6			
OTS	2,349	8.2			
Type of Exam					
Small	18,985	66.6			FFIEC
Non small	9,533	33.4			

has made contributions to a Senator's campaign before the Senator became a committee chair. We measure the political connectedness of local banks by taking the ratio of banks that have made contributions to the Senator over the number of bank branches in a county.

We also use banks' quarterly Federal Financial Institutions Examination Council (FFIEC) 031/041 filings (the "Call Reports"). This data allow us to measure the performance of banks. The data also contain information on the composition of banks' balance sheets.

Finally, we use data on banks' CRA examinations compiled by the FFIEC. Four agencies—the Federal Reserve, FDIC, OCC, and Office of Thrift Services (OTS)—conduct CRA exams. These exams assess whether the financial institution has a good record of helping to meet the credit needs of the community it serves. Banks are given one of four ratings: "outstanding," "satisfactory," "needs to improve," or "substantial noncompliance." Banks are classified as either large or small, which determines the rigor and frequency of exams.

4. Powerful politicians and consumer credit access: empirical evidence

4.1. Empirical estimation

To estimate the effects of political power on consumer credit access, we use the following difference-in-difference specification:

$$Supply\ ratio_{i,g,t} = \beta \times Powerful\ politician_{g,t} + \Gamma' Controls_{i,g,t} + \alpha_t + \alpha_g + \varepsilon_{i,g,t}, \quad (1)$$

where i indexes consumers, g indexes a geographical unit (most often a Census tract), and t indexes year-quarter (e.g., the second quarter of 2003). The independent variable of interest, *Powerful politician*, equals one if a given state's Senator became a committee chair within the past two years and zero otherwise. The regression also includes a time fixed effect (α_t) and a geographic fixed effect (α_g) to control for unobserved heterogeneity across time and location, respectively. Some specifications include a geography-by-time fixed effect (α_{gt}). Some specifications also include consumer fixed effects (α_i) to account for unobservable differences in borrower quality. Finally, in some specifications, we flexibly control for time-varying changes in borrower creditworthiness by introducing fixed effects for each ten-unit bin of the Equifax Risk Score measure.

These regressions identify the effects of political power on credit outcomes by comparing credit outcomes in states with new committee chairs to credit outcomes in other states after controlling for observable differences in consumer and geographic characteristics. For example, consider two consumers, one in Hawaii and one in Maryland. These consumers are similar before 2009, the year that Daniel Inouye (Hawaii) became chair of the Senate Appropriations Committee. The variable *Powerful politician* equals zero for both consumers in 2008. In 2010, *Powerful politician* equals one for the Hawaii consumer and zero for the Maryland consumer. Hence, the coefficient estimate of *Powerful politician* captures any 2010 differences in credit outcomes between the Hawaii and Maryland consumers, above and beyond observable differences in 2008.

We restrict Eq. (1) to the sample of consumers with an Equifax Risk Score below 640 (approximately the threshold between "prime" and "subprime" borrowers). Lenders tend to evaluate prime borrowers' applications based on "hard" information (such as applicants' credit scores and incomes) and often use model-based criteria to make credit decisions for such applicants. For example, most lenders automatically approve qualified prime borrowers' mortgage applications and then immediately sell the loans to Fannie Mae or Freddie Mac, collecting a fee in the process.[7] In contrast, lenders tend to apply a significant amount of discretion when evaluating subprime borrowers' loan applications (see, e.g., Keys et al., 2010; 2012), because lenders typically hold these loans on their balance sheets and the loans are subject to credit risk in the event of default.

In addition, applicants with low credit scores tend to be first in line to experience reductions in credit access when lenders tighten credit supply (Bhutta and Keys, 2016; Fuster et al., 2019). For example, the Senior Loan Officer Opinion Survey (SLOOS) on Bank Lending Practices, administered by the Federal Reserve, often reports the fraction of loan officers that tighten or loosen lending standards for prime and for subprime mortgage applications. In the average quarter, 20.6 percentage point more lenders report tightening standards on subprime applicants than on prime applicants. Hence, restricting the sample to sub-640 consumers focuses the analysis on borrowers whose loan applications are actually subject to lenders' discretion.

We also separately estimate the effects of *Powerful politician* on minority populations. There is a long history of credit market discrimination against minorities (see, e.g., Appel and Nickerson, 2016; Begley and Purnanandam, 2018). Many federal rules and regulations, such as the ECOA and CRA, are explicitly designed to curtail such lending discrimination. If lenders expect politicians to interfere with regulators' enforcement of these anti-discrimination regulations, then historically disadvantaged individuals are the most likely to experience reductions in credit access.

Existing guidance on the enforcement of fair-lending laws confirms that our tests should focus on subprime and historically disadvantaged consumers. The Interagency Fair Lending Examination Procedures refers to potential violations of fair-lending laws as "disparate treatment" of historically disadvantaged borrowers and specifically notes that such discrimination is more likely to occur when lenders have more discretion over application outcomes:[8]

> "Disparate treatment may more likely occur in the treatment of applicants who are neither clearly well-qualified nor clearly unqualified. Discrimination may more readily affect applicants in this middle group for two reasons. First, if the applications are 'close cases,' there is more room and need for lender discretion. Second, whether or not an applicant qualifies may depend on the level of assistance the lender provides the applicant in completing an application."

Given these considerations, our preferred empirical specification is as follows:

$$\begin{aligned} Supply\ ratio_{i,g,t} = {} & \beta_1 \times Powerful\ politician_{g,t} \\ & + \beta_2 \times Powerful\ politician_{g,t} \\ & \times Majority\ minority_g \\ & + \Gamma' Controls_{i,g,t} + \alpha_t + \alpha_g + \varepsilon_{i,g,t}, \quad (2) \end{aligned}$$

where *Majority minority* equals one if Census tract g has at least 50% minority individuals. The coefficient on the interaction between *Powerful politician* and *Majority minority*, β_2, measures the added effect of political power on credit

[7] Banks originating "conventional, conforming" mortgages to consumers can sell these mortgages to Fannie Mae or Freddie Mac with near certainty as long as the loan is below a specific amount (roughly \$500,000), the mortgage is a 30-year fixed rate mortgage (or another approved type of mortgage), and the borrower's credit score is above 620 or 640, depending on the type of loan. See https://www.fanniemae.com/content/guide/selling/b3/5.1/01.html for Fannie Mae's current credit score limits.

[8] Source: https://www.federalreserve.gov/boarddocs/supmanual/cch/fair_lend_proc.pdf.

Table 3
Powerful politicians and access to credit.
This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumer credit access in the Senator's state relative to other, unaffected states. The table uses data from the FRBNY CCP/Equifax, a representative panel of individual credit records from Equifax. The unit of observation in this table is a consumer-quarter. The sample period is 1999–2012. *Supply ratio* equals the number of new credit lines divided by the number of credit inquiries in the consumer's credit report in a given quarter. *Powerful pol.* equals one in the two years following a Senator's ascension for consumers in the Senator's state and equals zero otherwise. *Majority minority* equals one if the consumer lives in a Census tract that is majority nonwhite and is zero otherwise. Other variables are described in the text. The sample includes borrowers with an Equifax Risk Score less than or equal to 640. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: *Dependent variable*:	FRBNY CCP/Equifax Supply ratio					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. × Majority minority	−0.0283**	−0.0264*	−0.0405***	−0.0229**	−0.0208*	−0.0209*
	(0.013)	(0.013)	(0.014)	(0.011)	(0.011)	(0.011)
Powerful pol.	−0.0337***	−0.0332***			−0.0417***	−0.0416***
	(0.0092)	(0.0085)			(0.0099)	(0.0099)
Majority minority					−0.00470	−0.00329
					(0.0088)	(0.0093)
Census tract median income (Z)						0.00222
						(0.0036)
Census tract FE	x	x	x	x		
Year – quarter FE	x	x			x	x
Risk Score bin FE		x		x	x	x
Risk Score bins – Powerful pol. FE			x			
County – quarter FE				x		
Consumer FE					x	x
Consumer-quarter observations	890,271	890,271	890,271	855,981	887,829	887,597
R-squared	0.24	0.25	0.25	0.33	0.32	0.32

access in majority-minority communities relative to credit access in other communities.

4.2. Main results on credit access

4.2.1. Access to credit for disadvantaged borrowers

Table 3 presents the baseline estimates of political power on credit access specified in Eq. (2). We introduce increasingly strict fixed effects across the table's columns. In this and subsequent tables, we use fixed effects for ten-unit bins of consumers' Equifax Risk Score. We also include interactions between each Risk Score bin and *Powerful politician*, which flexibly controls for changes in consumer creditworthiness as a function of whether the consumer resides in a state with a new Senate committee chair. All of the regressions cluster standard errors at the state level (the level of treatment). Double-clustering by state and time tends to reduce the standard errors, which increases the statistical significance of our estimates (these standard errors are unreported).

The regression estimates suggest Senators' political power decreases credit access and that the effects are stronger for consumers in majority-minority neighborhoods. In column (1) the coefficient estimate on *Powerful politician* equals −0.034 and is statistically significant at the 1% level. The coefficient on the interaction between *Powerful politician* and *Majority minority* equals −0.028 and is statistically significant at the 5% level. The interaction between *Powerful politician* and *Majority minority* continues to be negative and statistically significant when we include controls for Risk Score bins and Risk Score bins interacted with *Powerful politician* (columns (2) and (3), respectively). Column (4) introduces county-by-quarter fixed effects to flexibly control for time-varying local macroeconomic conditions. The reduction in minorities' credit access is comparable to estimates in prior columns, which suggests that the negative effects are unlikely due to changes in demand conditions or investment opportunities.[9] The coefficient estimates are also robust to including individual fixed effects (columns (5) and (6)) and controlling for 2000 Census tract personal incomes (column (6)). These tests suggest that our findings are not the result of differences in the unobservable characteristics of consumers in states that have Senate committee chairs.

Senators' political power has economically large effects on consumers' access to credit. The coefficient estimates on *Powerful politician* range from −0.033 to −0.042. The sample mean of *Supply ratio* is approximately 46%. Hence, political power reduces credit access by 7% to 9% of the sample average in majority Census tracts. Moreover, the negative effect of political power on credit access is larger in minority neighborhoods. The coefficient estimates on the interaction term between *Powerful politician* and *Majority minority* range from −0.021 to −0.041. Using the additive effect of the coefficients on *Powerful politician* and its interaction with *Majority minority*, credit access declines by approximately 13% (= (0.0332 + 0.0264) / 0.46) of the sample average in minority Census tracts. Together, these results

[9] In addition to using geography-by-time fixed effects to control for demand conditions, we directly test whether *Powerful politician* affects the demand for credit by using the number of credit inquiries as the dependent variable in Eq. (3) (see Appendix Table A.2). Because credit inquiries are relatively costless to the prospective borrower, this variable is presumably a relatively pure measure of credit demand. We find that political power does not statistically significantly predict an increase in inquiries.

suggest that when lenders can expect political interference with regulatory enforcement, they reduce credit access, particularly to minority communities that should be protected by fair-lending regulations. Furthermore, credit applicants in majority-minority communities are significantly less likely to receive credit even after controlling for applicant characteristics that are typically used by lenders to determine creditworthiness, such as credit scores and personal incomes. This result provides evidence of lending practices that could be subject to punishment under fair-lending laws.

4.2.2. Robustness and evidence of identification

Next, we present evidence that our tests of Senators' political power on credit access are well identified. Fig. 2 plots distributed lags of the coefficient estimates on β_1 and β_2, the main effect of *Powerful politician* and its interaction with *Majority minority*, respectively. For both coefficients, the effect on *Supply ratio* is stable and not statistically different from zero for the two years prior to the Senator's ascension to committee chair. Immediately after becoming chair, *Supply ratio* sharply declines for consumers in majority-minority Census tracts. The effect of a Senator's ascension on credit access persists for at least several years after the Senator takes power. Because there are no trends in the treatment effect prior to committee chair turnover, it is unlikely that we falsely estimate statistically significant negative coefficients on *Powerful politician*.

Placebo tests also verify that our analysis is likely to satisfy the parallel trends assumption. We randomly draw false instances of committee chair turnover and then estimate placebo regressions. From these placebo regressions, we collect the distribution of *t*-statistics (the top panel of Fig. 3). These placebo *t*-statistics are normally distributed around zero (as demonstrated by the P-P plot in the bottom panel of Fig. 3), and few are above 1.96 in absolute value. Because these placebo estimates do not have a negative bias, it is unlikely that prior trends in credit access produce false positive difference-in-differences estimates.

The relation between political power and reduced credit access is also robust across different states and is stable over the course of the sample period. Appendix Fig. A.1 shows that the results are insensitive to the exclusion of any single state, which indicates that outlier states are unlikely to affect our coefficient estimates. The estimates are also not much changed when we exclude any given year from the analysis. This result is encouraging because our sample period includes the contraction in consumer lending during the Great Recession.

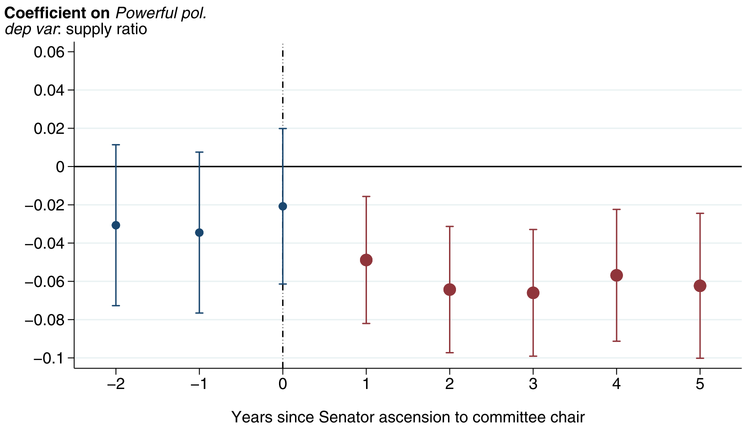
Furthermore, the results are robust to refining the set of control group states. In Appendix Table A.3, we allow the control group to only include states that have a Senator on the committee and in the same political party as the new committee chair. For example, when Daniel Inouye (D–HI) became chair of the Appropriations Committee, we restrict control states to those with Democrat Senators on the Appropriations Committee. These states are presumably the most comparable to those in which a Senator became chair. Though this restriction reduces the sample size by approximately 60%, the effects of political power on credit access are similar to our main tests.

Our main tests only include subprime consumers because lenders apply greater discretion to low-credit-score applications. To provide empirical support for this assumption, we use the FRBNY CCP/Equifax data set to directly examine the link between consumers' Risk Score and application approval rates. In Fig. 5, we use the specification in Eq. (1) to predict *Supply ratio* for consumers who have a differing Risk Score for the entire support of the Risk Score distribution. The figure separately plots the predicted value of *Supply ratio* for consumers in states where *Powerful politician* is equal to one and equal to zero, respectively. Panel A includes the sample of all consumers, and Panel B includes the sample of consumers who reside in majority-minority Census tracts. Both graphs show that the predicted *Supply ratio* gets smaller as we walk down the *Risk score* distribution, from approximately 90% for consumers with a Risk Score above 700 to 40% for a Risk Score below 600. Notably, the predicted *Supply ratio* is smaller for consumers in powerful Senators' states than in other states, but the gap in credit access only begins to occur for Risk Scores below 650. This result further justifies our focus on subprime borrowers.

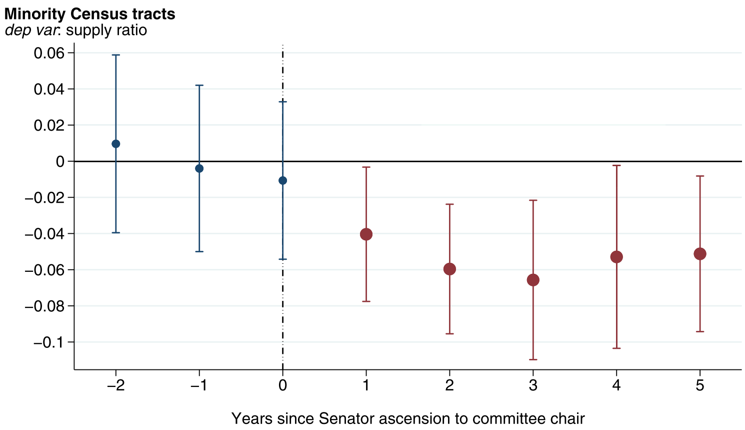
Finally, we use "specification curve" analysis to show that the results are robust to several empirical choices we could have made to specify Eq. (2). Specification curves are used to help visualize which empirical choices are the largest drivers of the coefficient estimates (see the Online Appendix Section A.1 and Simonsohn et al. (2015) for further reference). Our specification curves, presented in Fig. 6, includes roughly eighty alternative regression estimates that vary in the following ways: (i) the duration of the Senator ascension event; (ii) the sample of consumers to include in the regression; (iii) how to control for consumer characteristics; and (iv) the set of Senators that constitute *Powerful politician*. Indeed, Fig. 6 shows that the coefficient estimates are robust to a broad range of plausible alternates, but the figure also shows that the sample of Senators and their committee assignments is a crucial driver of the reduction in credit access. Section 5.2.1 details the role of committees that oversee the Federal agencies that enforce consumer lending regulations.

4.3. Political power and credit access using bank lending data

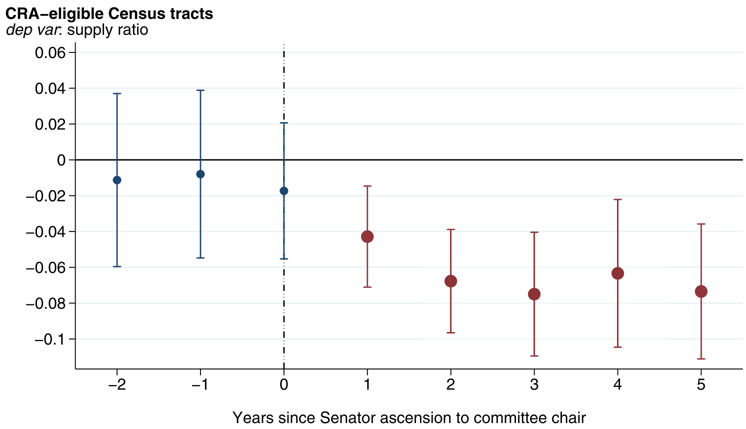
We also estimate the effect of Senators' power on consumer credit outcomes using HMDA data. Table 4 presents our analysis using mortgage application approval decisions to measure credit access. Columns (1)–(4) closely replicate the structure and specifications in Table 3. We find that consumers located in majority-minority Census tracts have reduced credit access when their home-state Senator becomes powerful. These results are robust to controlling for applicants' income either as a linear control (column (2)) or including fixed effects for applicants' income sorted into deciles (column (3)). The results remain statistically significant when we include county-year fixed effects to control for local economic shocks (column (4)). We further exploit the HMDA data by incorporating its information on mortgage lenders. The coefficient estimates are robust to in-



(a) Dynamics of main effect.

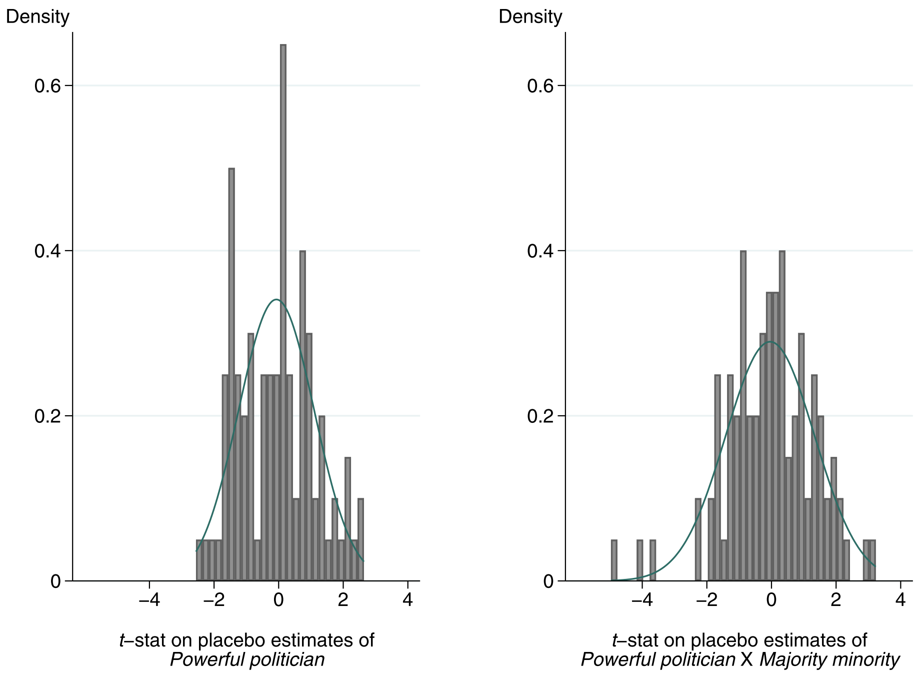


(b) Dynamics of minority lending.

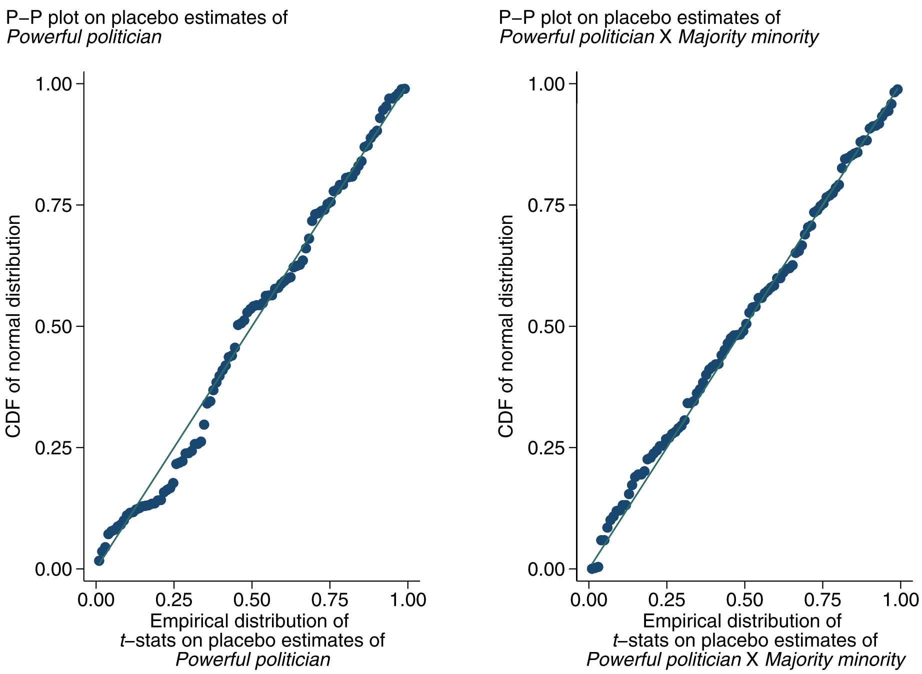


(c) Dynamics of CRA lending.

Fig. 2. Credit access before and after ascensions to Senate committee chairs.
This figure presents distributed lag plots of coefficients β_1 and β_2 in Eq. (2). The dependent variable, *Supply ratio*, is the number of new credit lines divided by the number of hard credit inquiries on a consumer's credit report. Panel (a) presents the dynamics for the main effect, while panels (b) and (c) present the dynamics of credit access in majority-minority and CRA-eligible Census tracts, respectively. The regressions also include fixed effects for the current quarter and Census tract. The sample includes consumers with an Equifax Risk Score less than 640. The figure includes 95% confidence intervals with standard errors clustered by state.

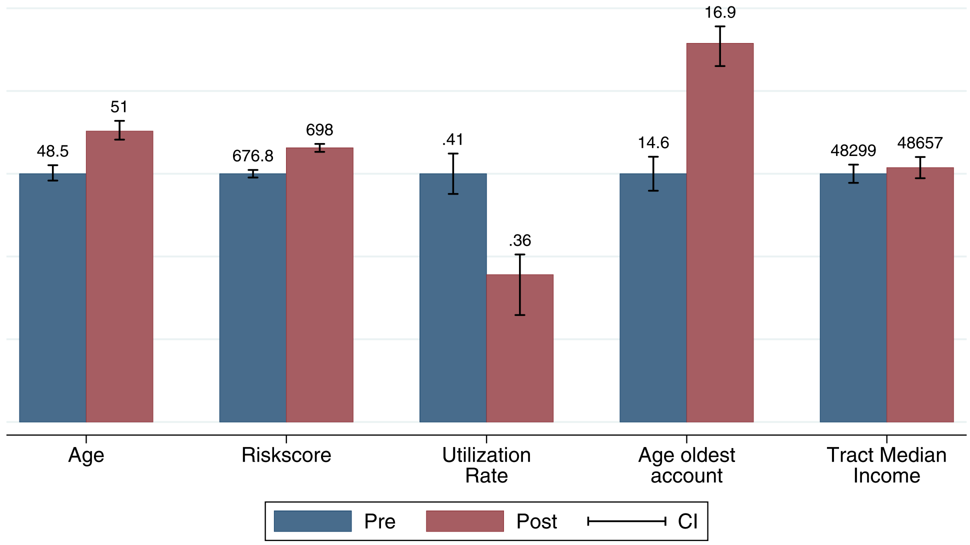


(a) Placebo t-statistics.

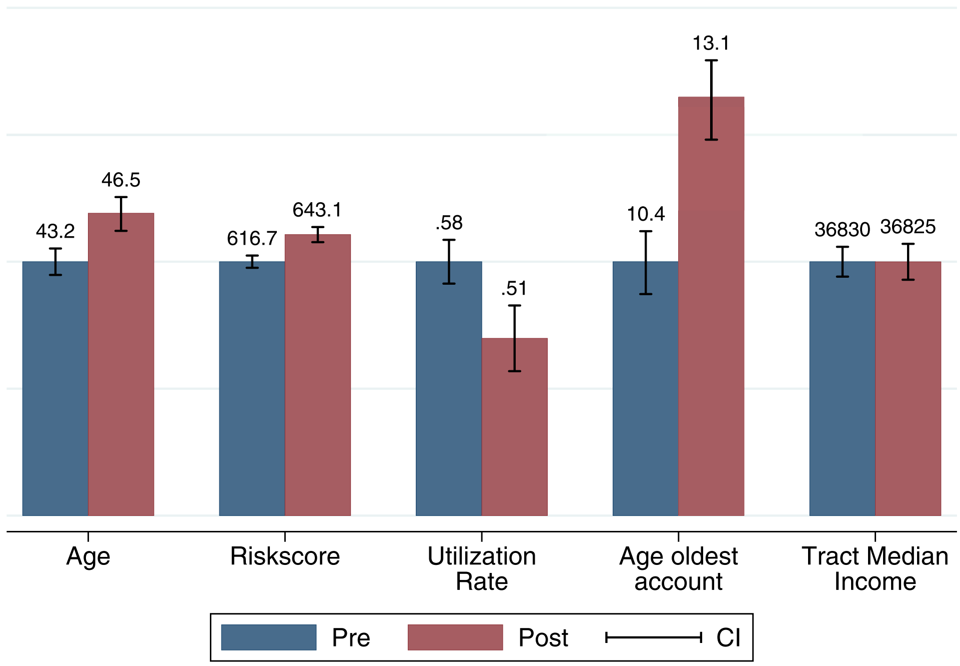


(b) Placebo P-P plots.

Fig. 3. Placebo test of Senator power and access to credit. This figure presents placebo estimates of the effect of a Senator's ascension to a powerful committee chair on consumer credit access in the Senator's home state. The regression is described in Table 3. The dependent variable is *Supply ratio*. The placebo test randomly assigns senators to committee chairs in different years (each one of the 100 iterations contains the same total number of ascensions that occur over our sample period). The top panel presents histograms of the t-stats (standard errors clustered by state) on the coefficient estimates of *Powerful politician* and of *Powerful politician* $\times$ *Majority minority*. The bottom panel presents, for both placebo variables, a P-P plot, a graphical test of normality of the distribution.



(a) New loan recipients in majority-white Census tracts.



(b) New loan recipients in majority-minority Census tracts

Fig. 4. Borrower characteristics for new credit lines.
This figure presents the characteristics of borrowers who receive at least one new credit line in the two years before (after) the ascension of a home-state Senator to a powerful committee chair. **Panel (a)** shows borrowers in majority white-Census tracts, and **Panel (b)** shows borrowers in majority-minority Census tracts..

cluding lender fixed effects and lender-by-year fixed effects (columns (5) and (6), respectively).

Next, we leverage the granular nature of the HMDA data to better understand how the reduction in credit access transmits through banks to consumers. Specifically, we match Senators to banks via banks' headquarters locations, thereby creating a tangible link between powerful politicians and the decision-making authorities at lending

Table 4
Powerful politicians and loan approval rates.
This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data come from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. *Powerful pol.* equals one if the location of the property in the loan application is in a state with a Senator who become committee chair in the past two years. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	HMDA loan applications					
Dependent variable:	Approval rate					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. × Majority minority	−0.0172***	−0.0195***	−0.0245***	−0.00596**	−0.0205***	−0.00902***
	(0.0047)	(0.0048)	(0.0037)	(0.0024)	(0.0038)	(0.0032)
Powerful pol.	−0.0160*	−0.0168			−0.0134*	−0.00872
	(0.0092)	(0.010)			(0.0080)	(0.0053)
Applicant income (1,000s)		0.000112***		0.000111***	0.0000921***	0.000101***
		(0.000012)		(0.000012)	(0.000011)	(0.000014)
Census tract FE	x	x	x	x	x	x
Year FE	x	x	x		x	
Income decile – Powerful pol. FE			x			
County – year FE				x		
Lender FE					x	
Lender – year FE						x
Observations	7,696,403	7,279,432	7,279,432	7,277,754	7,278,546	7,262,463
R-squared	0.055	0.056	0.069	0.068	0.24	0.28

institutions. We conjecture that powerful Senators will offer political protection to in-state banks because these banks are Senators' "constituents." At the same time, out-of-state banks also lend to consumers in powerful Senators' states. However, we would not expect nonconstituent banks to receive similar protections from powerful Senators, and as a consequence, out-of-state banks should not adjust their lending practices.

Table 5 tests whether reductions in credit access are greater for banks headquartered in the state represented by a newly powerful Senator. For these tests, we create new variables that separate *Powerful politician* into loan applications to constituent banks and all other loan applications in a Senator's state. The first variable, *Powerful pol. (constituent bank loans)*, equals one for a loan application submitted to a bank headquartered in a powerful Senators' state and zero otherwise. Notably, loan applications to these banks can be submitted by consumers from the Senator's state or by consumers from other states. The second variable, *Powerful pol. (other loans in state)*, equals one if the loan application is submitted by a consumer in a powerful Senator's state, but the application is submitted to an out-of-state bank that is not headquartered in the Senator's state. These tests also include interactions between both *Powerful pol.* variables and *Minority applicant*, a variable that equals one if the loan application is from a nonwhite applicant.

We find that the reduction in credit access comes entirely from banks that are connected to powerful Senators via banks' headquarters locations. The coefficient on *Powerful pol. (constituent bank loans)* is negative and statistically significant at the 1% level. Its interaction with *minority applicant* is also negative and statistically significant. The estimates imply that constituent banks reduce credit access to minority applicants by approximately seven percentage points when the banks' representative Senator becomes powerful. On the other hand, the coefficient on *Powerful pol. (other loans in state)* and its interaction with *Minority applicant* are small and not statistically different from zero. As a result, we find no evidence that banks outside of the Senator's state reduce credit access to the Senator's constituent consumers. Combined, these results suggest that the credit access reductions in powerful Senators' states are driven by banks headquartered in the Senator's state.

We next investigate how these constituent banks implement reduced credit access throughout their organizations. In Table 6, we again link banks to Senators via banks' headquarters location. We define two variables that separate *Powerful pol. (constituent bank loans)* into the bank's in-state and out-of-state applicants. The first variable, *Powerful pol. (w/in state applicant)*, equals one if the bank is headquartered in the powerful Senator's state and the loan applicant is also in-state. The second variable, *Powerful pol. (out-of-state appl.)*, equals one if the applicant is from a different state than the powerful Senator. Table 6 shows that across all specifications, the coefficients on these variables (as well as their interactions with *minority applicant*) are negative and statistically significant. Furthermore, the reductions in credit access for in-state and out-of-state applicants are large and relatively close in size (the reduction in credit access is slightly larger for out-of-state applicants). These findings suggest that banks protected by powerful Senators reduce credit access uniformly across all states in which the banks conduct business and not just in the Senator's home state.

The results in Tables 5 and 6 suggest that the decision to reduce credit access propagates from a bank's headquarters to the rest of the organization. Decision-making within multistate lending institutions tend to be highly centralized. For example, Mark and Stefan et al. (2018) use RateWatch data on mortgage rates and find that, at any point in time, more than 75% of publicly listed bank holding companies offer the same mortgage rates across all coun-

Table 5

Powerful politicians linked to bank headquarters' locations.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data come from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. We further refine the sample to include only loans that can be matched to HMDA respondent IDs (the lender) using the concordance file provided by Robert Avery of the Federal Housing Finance Agency. Using this information on HMDA lenders, *Powerful pol. (constituent bank loans)* equals one for a loan application submitted to a bank headquartered in a state that had a Senator become committee chair within the past two years, and zero otherwise. *Powerful pol. (other loans in state)* equals one if the loan application is submitted by a consumer in a powerful Senator's state, but the application is submitted to an out-of-state bank that is not headquartered in the Senator's state and zero otherwise. *Minority applicant* equals one if the loan application is from a nonwhite applicant and zero otherwise. Standard errors clustered at the lenders' state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: *Dependent variable*:	HMDA loan applications Approval rate			
	(1)	(2)	(3)	(4)
Powerful pol. (constituent bank loans)	−0.0372***	−0.0391***	−0.0401***	
	(0.011)	(0.012)	(0.011)	
Powerful pol. (constituent bank loans) × Minority applicant	−0.0340***	−0.0345***	−0.0310***	−0.0380***
	(0.012)	(0.012)	(0.011)	(0.013)
Powerful pol. (other loans in state)	−0.00442	−0.00473		
	(0.0031)	(0.0034)		
Powerful pol. (other loans in state) × Minority applicant	0.00178	0.00196	0.00655	0.00101
	(0.0048)	(0.0048)	(0.0041)	(0.0053)
Minority applicant	−0.00681	−0.00897	−0.0106	−0.00631
	(0.0085)	(0.0094)	(0.0094)	(0.0089)
Applicant income (1,000s)		0.0000389*	0.0000379*	
		(0.000021)	(0.000021)	
Census tract FE	x	x	x	x
Year FE	x	x		x
Lender FE	x	x	x	x
Year – county FE			x	
Inc. decile - pow pol. (constituent) FE				x
Inc. decile - pow pol. (other) FE				x
Observations	3,755,432	3,508,998	3,504,513	3,508,998
R-squared	0.32	0.32	0.33	0.33

Table 6

Powerful politicians and lending decisions throughout banking institutions.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data comes from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. We further refine the sample to include only loans that can be matched to HMDA respondent IDs (the lender) using the concordance file provided by Robert Avery of the Federal Housing Finance Agency. Using this information on HMDA lenders, *Powerful pol.* equals one if the lender's headquarters location is in a state with a Senator who become committee chair in the past two years. We further breakdown *Powerful pol.* into loans for properties in the bank's headquarters state (w/in state applicant) and for properties in other states (out-of-state appl.). Standard errors clustered at the lender's state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: *Dependent variable*:	HMDA loan applications Approval rate					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. (w/in state applicant)	−0.0379**	−0.0397**	−0.0294**	−0.0309**	−0.0167*	
	(0.015)	(0.015)	(0.011)	(0.012)	(0.0097)	
... × minority applicant			−0.0339***	−0.0350***	−0.0271**	−0.0395***
			(0.011)	(0.012)	(0.011)	(0.013)
Powerful pol. (out-of-state appl.)	−0.0482***	−0.0501***	−0.0417***	−0.0437***	−0.0465***	
	(0.014)	(0.014)	(0.012)	(0.012)	(0.012)	
... × minority applicant			−0.0348***	−0.0349***	−0.0323***	−0.0385***
			(0.012)	(0.012)	(0.010)	(0.013)
Minority applicant			−0.00667	−0.00882	−0.00986	−0.00625
			(0.0087)	(0.0096)	(0.0096)	(0.0092)
Applicant income (1,000s)		0.0000390*		0.0000387*	0.0000378*	
		(0.000022)		(0.000021)	(0.000021)	
Census tract FE	x	x	x	x	x	x
Year FE	x	x	x	x		x
Lender FE	x	x	x	x	x	x
Year – county FE					x	
Inc. decile – pow pol. (w/in state) FE						x
Inc. decile – pow pol. (out state) FE						x
Observations	3,755,432	3,508,998	3,755,432	3,508,998	3,504,513	3,508,998
R-squared	0.32	0.32	0.32	0.32	0.33	0.33

Table 7
Household campaign contributions and access to credit.
This table uses OLS regressions to test the marginal effect of campaign contributions on the relation between a Senator's ascension to a powerful committee chair and consumer credit access. The data, sample, and variables are described in Table 3. In columns (1) and (2), the sample includes ZIP codes in which aggregate personal campaign contributions to a Senator are above the median (within-state). The sample in columns (3) and (4) includes ZIP codes that are below the median. Campaign contributions data come from the Federal Elections Commission. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FRBNY CCP/Equifax			
Dependent variable:	Supply ratio			
Quartile of household campaign contributions:	top	bottom	all counties	
	(1)	(2)	(3)	(4)
Powerful pol.	−0.0328**	−0.0584***		
	(0.013)	(0.0092)		
... × contributions[middle quartiles]			−0.0166*	−0.00812
			(0.0086)	(0.0079)
... × contributions[bottom quartile]			−0.0297***	−0.0244***
			(0.010)	(0.0085)
Census tract median income (Z)				0.0213***
				(0.0040)
Census tract FE	x	x	x	
Year – quarter FE	x	x		
Risk Score bin FE	x	x	x	x
County – quarter FE			x	x
Consumer-quarter observations	226,244	201,897	849,202	852,782
R-squared	0.28	0.28	0.33	0.15

ties in all states in which the banks operate. Given this result, it is unsurprising that when multistate banks decide to reduce lending to disadvantaged borrowers, they do so across all states and not just in the headquarters state. This is consistent with our proposed mechanism: a bank would naturally expect a politician to protect the entire institution, not just branches of the bank within a single state.

Furthermore, political considerations related to interstate banking provide incentive for banks to provide equal treatment to in-state and out-of-state customers. Specifically, in addition to being accountable to federal regulators, banks are accountable to state regulators, and these state regulatory authorities help determine which out-of-state banks can operate in their state (see, e.g., Kroszner and Strahan, 1999). If, for example, Bank of America (headquartered in North Carolina) made it more difficult for New Yorkers to get approved for loans, New York regulators could take action against the bank.

Finally, if banks were to apply different standards to disadvantaged borrowers in different geographic locations, it would likely raise flags with federal regulators. In particular, the ECOA specifically empowers regulators to examine prohibited lending practices at any level of a bank's hierarchy, including at the level of a subsidiary, a state, a branch, or even by individual employees. Indeed, the ECOA guidance specifically says:

> "Where an institution has multiple underwriting or loan processing centers or subsidiaries, each with fully independent credit-granting authority, consider evaluating each center and/or subsidiary separately, provided a sufficient number of loans exist to support a meaningful analysis."

Collectively, these results paint a consistent picture: political protection from Senators in banks' headquarters states leads managers at headquarters to recommend reducing consumer credit access, and this decision is then implemented throughout the organization.

4.3.1. Political incentives and consumer credit

We further consider whether the reduction in credit access aligns with Senators' incentive to get reelected. Constituents that experience negative economic outcomes could punish politicians by not reelecting them. However, the Senators in our sample of new committee chairs have served 15.1 years, on average, and won their last reelection by an average of 26.4 points. Hence, reelection incentives are unlikely to be a significant concern for the politicians in our sample.

Nevertheless, the reductions in credit access are largest for consumers that are least likely to weaken Senators' reelection chances. Guided by Ovtchinnikov and Pantaleoni (2012), we use individuals' campaign contributions to proxy for local political engagement—low-contribution locations are less politically engaged and are therefore less likely to punish incumbent Senators. Table 7, columns (1) and (2), respectively, sort the FRBNY CCP/Equifax sample into the top and bottom quartile of household campaign contributions. The coefficient estimate on *Powerful politician* is -0.033 in the most politically engaged areas and -0.058 in the least politically engaged areas. Columns (3) and (4) include the full sample and interact *Powerful politician* with an indicator for the middle two quartiles of household contributions and an indicator for the bottom quartile of household contributions (the top quartile is the omitted category). The coefficient on the bottom quartile is more negative and statistically different from the top quartile, which confirms that the reduction in credit access is most pronounced for constituents who are least politically engaged. By showing that the reduction in credit access is not misaligned with political incentives, we can further claim that our findings are the result of political power and are not spurious.

Internet Appendix Table A.5 provides further evidence that the reduction in credit access aligns with Senators' reelection incentives. Specifically, we examine whether the credit access effects are larger for Senators who won their last election by a wide margin. We find no significant reductions in credit access for Senators who won their last election by less than the 25th percentile of previous electoral victories (12.6 percentage points). In contrast, Senate chair ascensions by politicians who won by larger margins are associated with a large, statistically significant reduction in credit access. Thus, the reduction in credit access is larger in states represented by Senators who do not face much reelection competition.

5. Political protection

Why does political power reduce credit access to historically disadvantaged borrowers? This section shows that banks that expect powerful politicians' protection will reduce credit access to populations covered by federal fair-lending regulations. Several federal guidelines encourage financial institutions to apply different screening standards to loan applications submitted by historically disadvantaged consumers, namely low-income individuals and racial minorities. Regulatory agencies use compliance with these guidelines as a benchmark for approving banks' merger and acquisition deals and new branch openings, and they can directly fine banks. However, regulatory agencies' efforts to penalize noncompliant banks can be influenced by powerful politicians.[10] Therefore, banks can adjust their lending practices to deprioritize regulatory compliance whenever they expect Senators to have scope to influence regulators (even when we do not directly observe Senators' interference with regulators).

We test this explanation in a number of ways. First, banks that initiate connections with powerful Senators should be more likely to reduce lending to regulatory-protected communities. Second, reductions in credit access should be concentrated in areas that are more likely to receive additional credit because of federal fair-lending regulations such as the CRA. Third, protected banks should have lower CRA exam ratings because they reduce their CRA lending and do not expect to be punished for doing so. Fourth, the largest reductions in credit access to disadvantaged communities should come from banks connected to Senators who oversee the regulatory agencies that enforce fair-lending regulations.

As a result of reducing credit access, banks' balance sheets and performance should change. If banks tighten screening standards on disadvantaged borrowers, then we would expect banks to allocate a larger share of consumer lending to higher quality borrowers. Politically protected banks should also have better performance because these banks can reallocate credit away from federally mandated loans towards low-credit-risk borrowers.

[10] For example, in 2017 the Office for the Comptroller of the Currency reduced the scope of lending behavior that could cause banks to be fined under the CRA. See, for example, "Trump Administration seeks to change rules on bank lending to the poor," The Wall Street Journal, January 10, 2018.

5.1. Politically connected banks

We start by showing that credit access declines more when financial institutions choose to initiate connections with powerful Senators via PAC contributions. Because individual banks decide whether or not to make political donations, we return to the HMDA data set to test for the effects of political connections. We define a bank as being politically connected if it operates a PAC that contributes to a Senator prior to the Senator becoming committee chair. For each county, we then compute the fraction of bank branches owned by banks that are politically connected to a new committee chair. We then sort counties into quartiles based on their level of bank political connectedness. Similar to Table 6, we assign political power shocks based on a bank's headquarter state and examine in-state and out-of-state lending for a given bank.

We find the largest reductions in credit access occur in counties with politically connected banks (Table 8). Column (1) (column (2)) estimates the effects of *Powerful politician* on credit access for the sample of counties in the top (bottom) quartile of politically connected banks. The top-quartile and bottom-quartile counties experience similar declines in lending for in-state applicants. However, out-of-state applicants experience close to a two percentage point larger reduction in credit access if they reside in the top quartile of political connectedness. Columns (3) and (4) verify that these differences are statistically meaningful. Using the bottom quartile as the omitted category, these columns estimate the interaction between *Powerful pol. (out-of-state appl.)* and *bank contributions[top quartile]* and find that it is negative and statistically significant.

5.2. Regulatory constraints on consumer lending

Next, we provide direct evidence that reduced compliance with consumer lending regulations can explain why Senators' political power reduces access to credit. The CRA requires banks that operate branches in a given MSA to extend credit to residents of low-to-moderate-income (LMI) Census tracts. Agarwal et al. (2016) find that CRA enforcement leads banks to change their lending choices, suggesting that fair-lending regulations act as a binding constraint on bank behavior. A tract is defined as LMI if its median family income is less than 80% of the MSA's median family income (see Bhutta, 2011). For example, a tract with a median family income equal to 85% of the MSA's median income is not subject to the fair-lending provisions of the CRA, whereas a tract with a median family income equal to 75% of the MSA's median income is subject to the CRA's lending provisions. This discontinuity allows us to test whether protected banks are specifically adjusting their lending behavior in tracts that are subject to the CRA.

Table 9 shows that there is a discontinuous reduction in credit access that occurs precisely at the CRA eligibility threshold. Columns (1) and (2) interact *Powerful politician* with an indicator variable, *CRA eligible*, that equals one if the Census tract is considered LMI.[11] The coefficient esti-

[11] The sample size of these tests falls by about one-fifth because rural Census tracts often do not belong to any MSA.

Table 8
Politically connected banks and access to credit.
This table uses OLS regressions to test the marginal effect of banks' political connectedness on the relation between a Senator's ascension to a powerful committee chair and lending in the Senator's home state. The data and the sample construction are described in Table 6. We sort counties by the fraction of bank branches that have connections to Senators from the bank's headquarter state that ascend to a chair of a powerful Senate committee. We call a bank connected if it contributed to the Senator's election campaign(s) prior to the Senator's ascension. Campaign contributions data come from the Federal Election Commission. Bank branch data come from the FDIC Summary of Deposits. Standard errors clustered at the lenders' state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	HMDA loan applications			
Dependent variable:	Approval rate			
Quartile of banks' campaign contributions:	top	bottom	all counties	
	(1)	(2)	(3)	(4)
Powerful pol. (w/in state applicant)	−0.0391**	−0.0390***	−0.0334***	−0.0352***
	(0.018)	(0.012)	(0.0096)	(0.011)
... × bank contributions[middle quartiles]			−0.00313	−0.00184
			(0.0064)	(0.0061)
... × bank contributions[top quartile]			−0.00945	−0.0112
			(0.010)	(0.011)
Powerful pol. (out-of-state appl.)	−0.0581***	−0.0412**	−0.0426***	−0.0452***
	(0.014)	(0.016)	(0.015)	(0.015)
... × bank contributions[middle quartiles]			−0.00303	−0.00230
			(0.0056)	(0.0055)
... × bank contributions[top quartile]			−0.0174**	−0.0169*
			(0.0087)	(0.0089)
Applicant income				0.0000386*
				(0.000021)
Census tract FE	x	x	x	x
Year FE	x	x	x	x
Lender FE	x	x	x	x
Observations	949,550	901,912	3,668,751	3,427,613
R-squared	0.29	0.33	0.32	0.32

mate on the interaction term is -0.027 and statistically significant at the 5% level. This suggests that banks reduce CRA-eligible lending when their Senator becomes a powerful committee chair.

The reduction in lending to CRA-eligible Census tracts does not simply reflect broad reductions in lending to low-income households. First, we highlight that the eligibility threshold is determined by the ratio of Census tract to MSA income levels. Therefore, the threshold occurs at different levels of Census tract incomes across different MSAs. Second, we refine our tests to only include the sample of Census tracts that are in the narrow range around the threshold. In columns (3) and (4), we restrict the sample to Census tracts with median incomes that are between 60% and 100% of the MSA's income (recall that the CRA eligibility threshold is 80%). In these specifications, the magnitude of the coefficient estimates on the interaction of *Powerful politician* and *CRA eligible* is indistinguishable from the coefficient magnitudes when estimated using the full sample of Census tracts. Because the restricted sample yields similar estimates to the full sample (the full sample of Census tracts include both very high- and very low-income tracts), we are confident that we identify discrete effects due to CRA eligibility rather than simply capturing a broad negative relation between credit access and incomes.

We complement these results with two placebo tests in which we falsely define a Census tract's CRA eligibility at above or below the actual eligibility threshold. Columns (5) and (6) set the eligibility threshold at 100% and use the sample of Census tracts that have between 80% and 120% of the MSA's income. In these columns, the variable *CRA placebo* equals one for Census tracts with incomes between 80% and 100% of the MSA's income and equals zero for Census tracts with incomes between 100% and 120%. Columns (7) and (8) set the placebo eligibility threshold at 60% and restrict the sample to Census tracts with incomes between 40% and 80% of the MSA's income. In each of these placebo tests, the coefficient on the interaction between *Powerful politician* and *CRA placebo* is economically and statistically indistinguishable from zero.

We provide additional direct evidence that political power reduces credit access by analyzing banks' CRA exam ratings. Banks are examined periodically by regulators to confirm that they comply with CRA lending guidelines.[12] Table 10 uses ordered logit regressions to show that banks' CRA exam ratings are lower when the state's Senator is a committee chair. Small banks have larger reductions in exam ratings, which suggests that small banks respond more aggressively once they obtain increased political protection.[13] Combined, these results suggest that

[12] CRA examinations are required to take place at least once every two years for large banks and every five years for small banks. Hence, given our assumption that political power shocks last two years, we are only including roughly 40% of affected small banks in our sample, which significantly reduces our statistical power. Nonetheless, the strongest effects we find, both economically and statistically, are for small banks.

[13] Several different regulatory agencies conduct CRA compliance exams. In Appendix Table A.6, we split this analysis by regulator. We find that exam ratings decline when the exam is conducted by the FDIC, OCC, and OTS. On the other hand, ratings do not decline when the exam is conducted by the Federal Reserve. We conjecture that this result is due to the Federal Reserve having significant autonomy from the federal government.

Table 9

Access to credit under the Community Reinvestment Act and powerful politicians.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumer credit access that is likely to be affected by the regulatory provisions in the Community Reinvestment Act (CRA). The data, the sample, and variables are described in Table 3. The CRA encourages banks to supply credit to Census tracts with median incomes less than 80% of the median income in the MSA. This table sorts the data by the ratio of Census tract median income to MSA median income. Columns (1) and (2) use data from all Census tracts. Census tracts with a ratio of tract to MSA income between 60% and 100% are in columns (3) and (4), 80% to 120% are in columns (5) and (6), and 40% to 80% are in columns (7) and (8). *CRA eligible (I < 80%)* equals one if the consumer resides in a Census tract with ratio of tract income to MSA income less than 80%. *CRA placebo (I < 100%)* and *CRA placebo (I < 60%)* are placebo thresholds for CRA eligibility that equal one if the consumer resides in a Census tract with a ratio of tract income to MSA income less than 100% and 60%, respectively. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FRBNY CCP/Equifax							
Dependent variable:	Supply ratio							
Census tract median income / MSA median income:	Full sample		60%–100%		80%–120%		40%–80%	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Powerful pol. × CRA eligible (I < 80%)	−0.0265***	−0.0263***	−0.0259*	−0.0262*				
	(0.0090)	(0.0093)	(0.014)	(0.014)				
Powerful pol. × CRA placebo (I < 100%)					0.0144	0.0143		
					(0.015)	(0.016)		
Powerful pol. × CRA placebo (I < 60%)							0.00538	0.00430
							(0.032)	(0.031)
Powerful pol.	−0.0462***	−0.0461***	−0.0495***	−0.0486***	−0.0693***	−0.0687***	−0.0741***	−0.0731***
	(0.012)	(0.011)	(0.015)	(0.014)	(0.023)	(0.023)	(0.021)	(0.021)
Census tract FE	x	x	x	x	x	x	x	x
Year – quarter FE	x	x	x	x	x	x	x	x
Consumer FE	x	x	x	x	x	x	x	x
Risk Score bin FE		x		x		x		x
Consumer-quarter observations	718,963	718,963	307,236	307,236	324,370	324,370	194,831	194,831
R-squared	0.42	0.42	0.44	0.44	0.44	0.44	0.45	0.45

Table 10

Powerful politicians and Community Reinvestment Act regulatory exams.

This table uses ordered logit regressions to test the relation between a Senator's ascension to a powerful committee chair position and subsequent CRA regulatory exam performance for banks headquartered in the politician's home state. The data on CRA exams come from the Federal Financial Institutions Examination Council. The dependent variable, *CRA exam rating* equals 4 for "outstanding," 3 for "satisfactory," 2 for "needs to improve," and 1 for "substantial noncompliance". *Powerful pol.* equals one if the location of the lending institution is in a state with a Senator who become committee chair in the past two years. We also break down *Powerful pol.* into "small bank" exams and all other types of bank exams. The exam method, small bank or otherwise, is determined by asset thresholds that change over time. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FFIEC bank exams			
Ordered logit dep. var.:	CRA exam rating			
	(1)	(2)	(3)	(4)
Powerful pol.	−0.257**	−0.242**		
	(0.11)	(0.11)		
Powerful pol.[exam method: small bank]			−0.454***	−0.327***
			(0.12)	(0.11)
Powerful pol.[exam method: no small bank]			0.179	0.157
			(0.15)	(0.15)
Year FE	x	x	x	x
Exam method FE		x		
State FE				x
Observations	28,518	28,518	28,518	28,518
Pseudo *R*-squared	0.014	0.034	0.016	0.041

banks expect powerful politicians to provide protection from the consequences of reduced compliance with the CRA.

5.2.1. Senators with scope to intervene in enforcement

Next, we examine the variation in Senate committee assignments and whether or not these committees have direct oversight on the federal agencies that enforce fair-lending regulations. The CRA can be enforced by the Federal Reserve, the OCC, and the FDIC. The ECOA can be enforced by the OCC, the FTC, and the DOJ.[14] The Senate Banking Committee oversees the OCC, FDIC, and Federal Reserve. The Committee on Judiciary oversees the DOJ, and the Committee on Commerce oversees the FTC. Though Senators can concurrently serve on multiple committees, we expect that powerful Senators serving on these three

[14] Moreover, other federal agencies such as the Department of Housing and Urban Development may find evidence of the violation of fair-lending laws and can refer cases to the DOJ for enforcement. See https://www.justice.gov/file/1097396/download for more details.

Table 11
Senate committees related to enforcement of consumer finance regulations.
This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumers' access to credit. The data and the sample construction are described in Table 3. This table decomposes *Powerful pol.* into two variables. The first variable includes committee chair ascensions in which the Senator serves on at least one of the Banking, Commerce, or Judiciary committees (Bank-Com-Jud). The second version of *Powerful pol.* includes ascensions where the Senator serves on none of these three committees. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	CCP/Equifax					
Dependent variable:	Supply ratio					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol.[Bank-Com-Jud]	−0.0397***			−0.0471***		
	(0.014)			(0.014)		
... × Majority minority	−0.0317**	−0.0199	−0.0307**			
	(0.013)	(0.014)	(0.014)			
... × CRA eligible				−0.0270***	−0.0266***	−0.0260***
				(0.0076)	(0.0079)	(0.0081)
Powerful pol.[Other coms]	−0.0270**			−0.0254*		
	(0.011)			(0.014)		
... × Majority minority	−0.0116	−0.00695	−0.0115			
	(0.019)	(0.019)	(0.017)			
... × CRA eligible				−0.0106	−0.0134	−0.00955
				(0.016)	(0.018)	(0.015)
Census tract FE	x	x	x	x	x	x
Year – quarter FE	x		x	x		x
Risk Score bin FE	x	x		x	x	
State – quarter FE		x			x	
Risk. bin – Pow. pol.[Bank-Com-Jud] FE			x			x
Risk. bin – Pow. pol.[Other coms] FE			x			x
Consumer-quarter observations	890,271	890,271	890,270	723,612	723,610	723,611
R-squared	0.25	0.26	0.25	0.24	0.25	0.24

committees have a greater scope of influence over regulators' enforcement efforts.

We test whether members of the Banking, Commerce, or Judiciary (BCJ) committees have larger negative effects on lending subject to fair-lending regulations. We examine this possibility by re-categorizing the independent variable of interest, *Powerful politician*, into two groups. We set *Powerful pol. BCJ* (or *Powerful pol. pther*) equal to one if a state's Senator became a committee chair within the past two years and is (not) a member of the BCJ committees and zero otherwise. Using these two new variables, we run the following regression:

$$\begin{aligned} Supply\ ratio_{i,g,t} = {} & \beta_1 \times Powerful\,ol.\,BCJ_{g,t} \\ & + \beta_2 \times Powerful\,pol.\,other_{g,t} \\ & + \beta_3 \times Powerful\,pol.\,BCJ_{g,t} \\ & \times Tract\ characteristic_g \\ & + \beta_4 \times Powerful\,pol.\,other_{g,t} \\ & \times Tract\ characteristic_g \\ & + \Gamma' Controls_{i,g,t} + \alpha_t + \alpha_g + \varepsilon_{i,g,t}. \end{aligned} \quad (3)$$

Consistent with prior tests, the coefficient of interest is the interaction with *Tract characteristic*, which is an indicator for either a majority-minority or a CRA-eligible Census tract.

We find that the largest negative effects on credit access come from states with Senators on the BCJ committees. In Table 11, we interact *Powerful pol. BCJ* and *Powerful pol. others* with an indicator for majority-minority Census tracts (columns (1)–(3)) or with CRA-eligible tracts (columns (4)–(6)). The coefficients *Powerful pol. BCJ* × *Majority minority* and *Powerful pol. BCJ* × *CRA eligible* are large in magnitude and statistically significant. In contrast, the coefficient on the interactions with other committees are not statistically significant. Moreover, the coefficients on the BCJ interactions are approximately 2.5 to 3 times larger than the coefficients on interactions with other committees. These results suggest that the reduction in credit access to majority-minority and CRA-eligible neighborhoods is driven by powerful Senators who serve on the BCJ committees.

We also quantify the importance of the BCJ committees by running a series of "placebo" committee regressions. Specifically, we estimate the effect of committee chair ascensions for 100 randomly selected combinations of three committees (excluding the BCJ committees). Fig. 8 presents the distribution of the additive effect (*Powerful pol.* + *Powerful pol.* × *Majority minority* or *Powerful pol.* + *Powerful pol.* × *CRA eligible*) for these placebo estimates. We compare the placebo estimates to the estimates from the BCJ committee regressions. Panel A presents the distribution for consumers in majority-minority Census tracts, while Panel B presents the distribution for consumers in CRA-eligible Census tracts. The plots show that the decline in credit access is especially large for the BCJ committees relative to any other set of three committees. In particular, the negative effect on credit access in CRA-eligible Census tracts is two percentage points larger for committee chair ascensions for BCJ members relative to any other combination of three committees. The negative effect of BCJ committees on minority Census tracts is in the top fifth percentile of all possible combinations of three committees.

These results highlight the connection between powerful Senators and the scope for regulatory enforcement by key federal agencies.

5.3. Credit quality, loan performance, and bank performance

Our results show that banks reduce credit access to disadvantaged consumers who benefit from fair-lending regulations. If banks tighten screening standards on these consumers, then we would expect the pool of borrowers who receive credit to be of higher quality when Senators become powerful. Fig. 4 compares the characteristics of borrowers who receive at least one new credit line before the Senator becomes a committee chair to borrowers that receive at least one new credit line after. We find that the latter borrower has higher average credit quality. The borrower is approximately 3 years older, has an Equifax Risk Score that is approximately 20 points higher, and has a 5 percentage point lower credit utilization rate (Panel A). These differences are slightly larger for borrowers who reside in majority minority Census tracts (Panel B).

As further evidence that banks tighten lending standards, we find that loans issued when the Senator is a committee chair have lower subsequent delinquency rates. Fig. 7 compares the delinquency rates of borrowers who receive new loans before the Senator becomes committee chair to the delinquency rates of borrowers who receive new loans after (we use delinquency rates at the borrower level rather than at the loan level because the FRBNY CCP/Equifax data aggregates credit accounts to the borrower level). Borrowers who receive new loans before Senators ascend to committee chair have similar delinquency rates as borrowers who receive new loans after Senators become committee chair (approximately 5% of accounts). However, the delinquency rate of borrowers who receive loans before ascensions increases to 15% in subsequent years. This result suggests that banks tighten credit standards after Senators become powerful, in part because banks are less willing to roll over existing debt.[15]

5.3.1. Bank performance

The results in Figs. 4 and 7 show that, as a result of banks reducing credit access to regulatory-protected borrowers, banks' loan portfolios shift toward higher quality borrowers who have lower subsequent default rates. Banks should have better performance as a result of lowering the default risk on their balance sheets. This section uses data from the Call Reports to examine whether reducing credit access to high-default-risk borrowers tangibly benefits banks by improving their financial performance.

To examine this possibility, we use branch-level SOD data from the FDIC to identify all of the states in which a specific bank has branches. We define all banks with branches in a newly powerful Senator's home state as being "shocked" and all banks with branches in other states as being "nonshocked."[16] We use annualized ROA to measure bank profitability. We then examine whether banks' return on assets (ROA) increases when they have branches in states served by new Senate committee chairs. Table 12 presents the results of our tests. These tests include a number of control variables along with time, state, and bank fixed effects. Specifications (1)–(3) include the entire sample of banks, while specifications (4)–(6) restrict the sample to only include banks with branches in one state. This restriction ensures that the same bank is not in both the treatment group and the control group at the same point in time, which should allow us to obtain more precise estimates of the effect of political power on bank profitability.

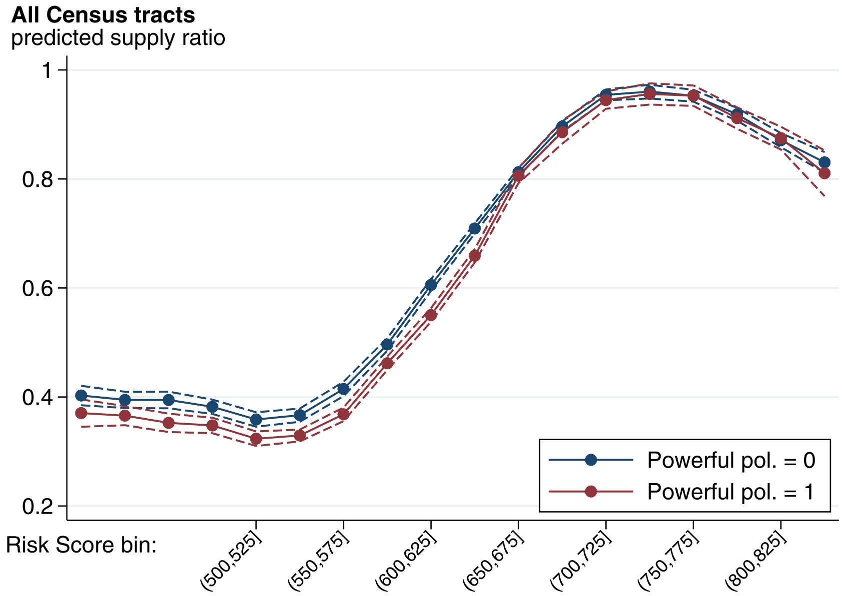
Bank ROA is an aggregate measure driven by many different factors, so it is unclear whether changes in credit access affecting only part of a bank's lending portfolio would lead to visibly higher ROA results. Nevertheless, across all specifications, we find that increased political power is associated with modest increases in bank ROA. Average annualized ROA increases by approximately five to six basis points (or roughly 3.5%) at banks in states with newly powerful politicians, and this relation is slightly stronger when we restrict the sample to banks that operate in a single state. Hence, our estimates suggest that banks that are operating in shocked states earn modestly higher profits after they are able to reallocate lending from less profitable ("required") regulatory-mandated loans to other, more profitable purposes. Consistent with this finding, Appendix Table A.7 shows that banks' annualized interest income-to-asset ratio increases by approximately 0.7% (statistically significant at the 10% level), while we observe no material changes in banks' scaled non-interest income or interest expense.[17] Moreover, columns (3) and (6) indicate that ROA increases by three times as much at politically connected banks in shocked states than at banks in the same state that are not connected to the Senator in question. Hence, while all banks in a state (on average) become modestly more profitable following a Senate committee chair ascension, this effect is much larger for politically connected banks.

The reallocation of credit away from regulatory-mandated borrowers is most likely to affect consumer

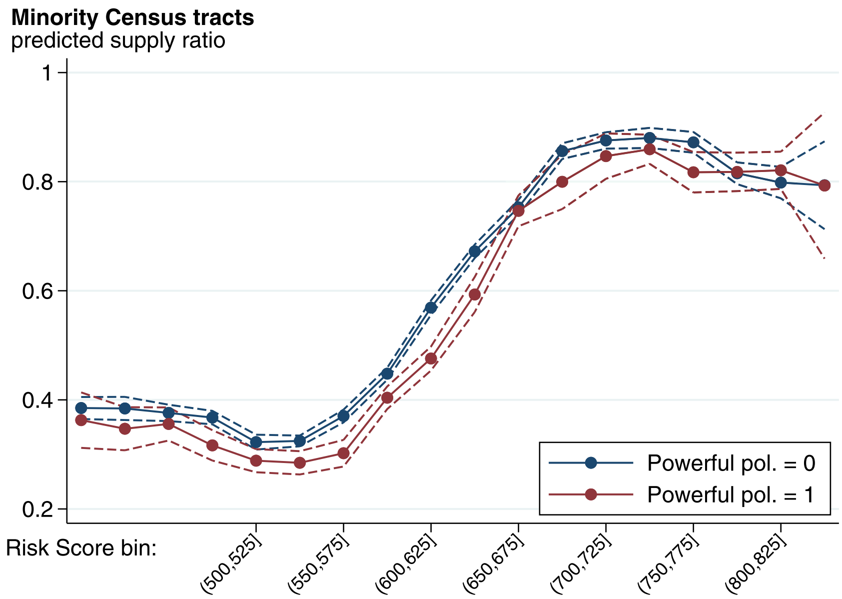
[15] The Internet Appendix (Fig. A.2) provides speculative evidence that lenders do not roll over existing debts. Credit utilization rates increase and the Equifax Risk Score declines for the borrowers who receive credit in the two years prior to Senators' ascensions, but are stable for borrowers who receive credit in the two years after Senators' ascensions.

[16] Lending data is not available at the branch level or the state level for each bank—the Call Reports only contain lending data for each bank as a whole. This restriction requires us to include a separate observation for each bank-state pair in our sample. For example, if Acme Bank has branches in both Iowa and Illinois, Acme's Call Report data will appear in two rows for each period (one for Iowa, one for Illinois). Hence, if a bank has branches across both shocked and nonshocked states, this bank will be in both the treatment group and the control group at the same point in time. We analyze Senate chair ascensions across all states in which a bank has branches rather than focusing on bank headquarter states to maintain compatibility with our previous tests using the FRBNY CCP/Equifax data set.

[17] Appendix Table A.7 also shows that banks' annualized non-interest expense-to-asset ratio declines by approximately 2.7%, statistically significant at the 5% level. Non-interest expenses may fall because banks are able to spend less time screening disadvantaged borrowers, as these borrowers tend to require more screening (and hence, more loan officer time) than borrowers with high credit scores.



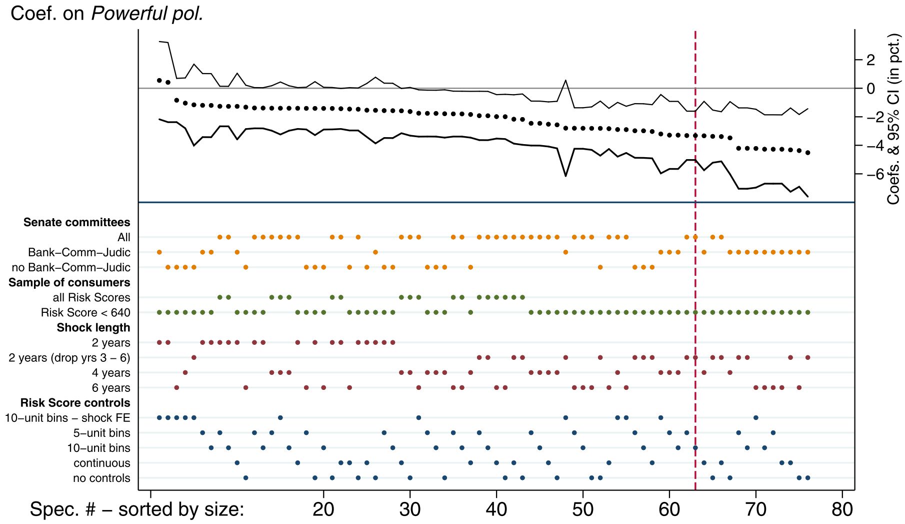
(a) All consumers.



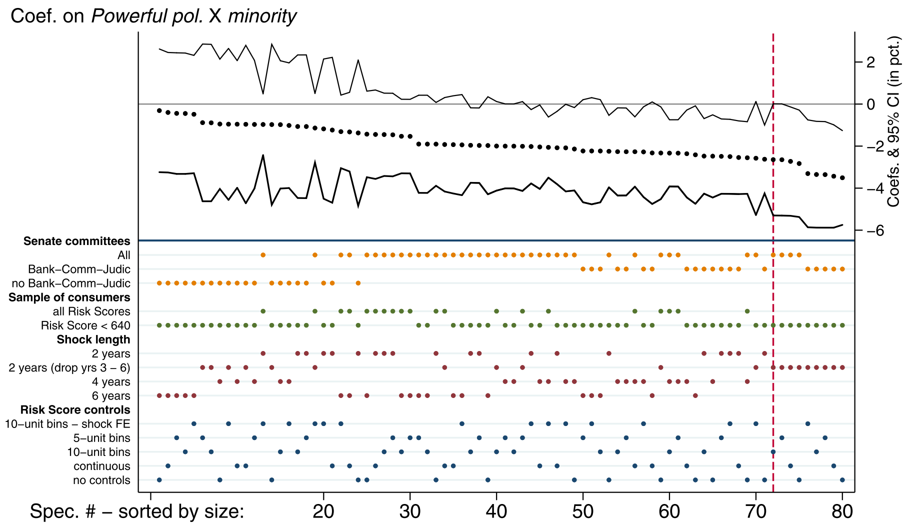
(b) Consumers in majority-minority Census tracts.

Fig. 5. Supply ratio over the distribution of consumers' Risk Score.
This figure presents predicted levels of *Supply ratio* and 95% prediction intervals for consumers over the distribution of consumers' Risk Score. The predictions come from panel regressions with bins for each 25 Risk Score unit. The panel regressions include fixed effects for quarter and Census tract. The regressions also jointly estimate the effects for consumers who reside in states that have Senate committee chairs in the past two years (red line) and those who reside in other states (blue line). **Panel (a)** presents predictions for borrowers in all Census tracts. **Panel (b)** includes only majority-minority Census tracts. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)

and real estate loans, which collectively comprise approximately 75% of total loans for the average bank in our sample. Given our baseline findings of a five to six basis point increase in ROA, this suggests that increased political power is associated with approximately a seven basis point increase in the average profitability of consumer and real estate loans for the banks in our sample. Of course, not all consumer and real estate loans would be affected since the majority of bank loans are likely made in neighborhoods that are not subject to fair-lending regulations.



(a) Specification curve analysis for Powerful politician



(b) Specification curve analysis for Powerful politician×Majority minority

Fig. 6. Specification curve analysis.
This figure uses "specification curve" analysis (Simonsohn et al., 2015) to summarize the robustness of our results to a variety of empirical choices that we have made. Our baseline estimates (reported in Table 3) include specification choices along the following dimensions: (i) the duration of political power shocks (two years versus longer); (ii) the sample of consumers to include (subprime only versus all borrowers); (iii) how to control for consumer characteristics; and (iv) which Senate ascension events to include. The figure shows that the choice of Senate ascension events has a large effect on the results – the reduction in credit access is largest when Senators serve on committees that oversee the agencies that enforce consumer lending regulations (Section 5.2.1 describes these results in detail). To read the figures, the top panel presents coefficient estimates (and 95% confidence bands) ordered in magnitude from smallest to largest. The dots in the lower panel combine to indicate the specification choice. The vertical dotted lines indicate the coefficient estimate in the paper. All of the specifications have Census tract and time fixed effects. Standard errors are clustered by state.

However, these estimates suggest that political protection allows banks to earn modestly higher income by reallocating lending from disadvantaged consumers toward more profitable investment opportunities.

5.4. Alternative explanations

We next examine a variety of alternative explanations for our results.

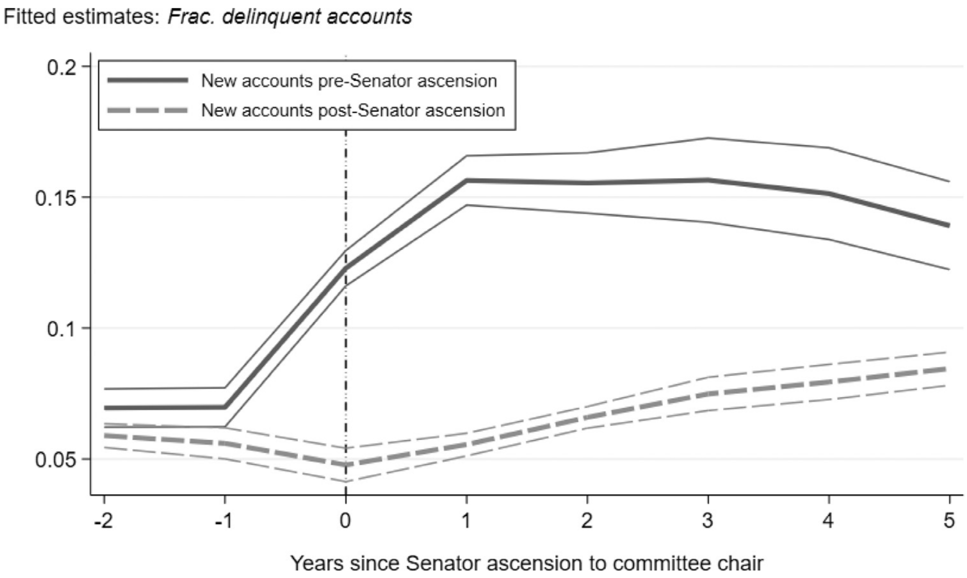


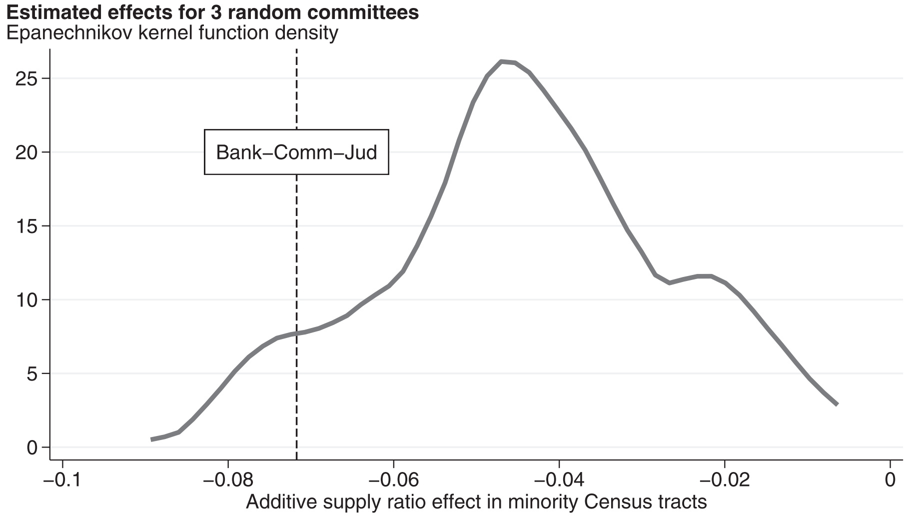
Fig. 7. New account delinquencies.
This figure shows the fraction of credit accounts that are delinquent for borrowers who receive at least one new line of credit in the two years before (after) the ascension of a home-state Senator to a powerful committee chair. The figure presents fitted estimates (and 95% prediction intervals calculated using standard errors clustered by state) of an OLS panel regression that includes fixed effects for the consumer's Census tracts. The dependent variable *Frac. delinquent accounts* equals the number of accounts at least 90 days past due over the total number of credit lines on the consumer's credit report.

Table 12
Bank profitability and powerful politicians.
This table shows the effect of a Senator's ascension shock on bank return on assets using OLS regressions. The unit of observation is a bank-state-quarter, where a bank appears in the data set once per quarter in each state where the bank operates a branch. For example, a bank operating in three states would appear three times in each quarter. *Powerful pol.* is a binary variable defined at the state-quarter level that takes the value of one in the two years following an ascension shock and zero otherwise. Details of the variable construction are provided in the text. *Connected banks* is a binary variable that takes the value of one if the bank made political contributions in a given time period and zero otherwise. Quarterly ROA values are annualized and are then multiplied by 100 to yield ROA values in percentage points. Columns (1)–(3) present the analysis on the full sample of banks while columns (4)–(6) present the analysis for banks that operate in a single state only. Control variables (all lagged one quarter) include ln(Assets), ln(Agricultural loans), ln(C&I loans), ln(Consumer loans), ln(Real Estate Loans), the equity-to-assets ratio, and the fractions of total loans and total deposits to total assets. Bank lending data come from the Call Reports, campaign contributions data come from the Federal Election Commission, and bank location data come from the FDIC Summary of Deposits. Standard errors are clustered at the state level are presented in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels respectively.

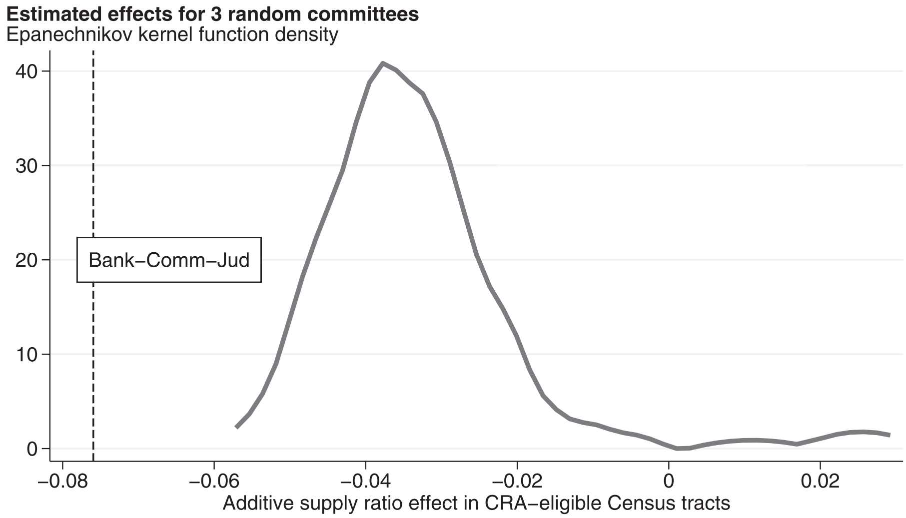
Dependent variable:	Bank ROA (annualized, in percentage points)					
Sample:	All banks			Single-state banks		
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol.	0.0999***	0.0590**	0.0543**	0.111***	0.0604**	0.0588**
	(0.0304)	(0.0248)	(0.0243)	(0.0307)	(0.0242)	(0.0246)
Powerful pol. × Connected			0.0950**			0.183*
			(0.0446)			(0.0952)
Controls		x	x		x	x
Year-quarter FE	x	x	x	x	x	x
State FE	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x
Bank-state-quarter observations	453,695	306,187	306,187	400,451	268,444	268,444
R-squared	0.534	0.482	0.482	0.542	0.499	0.499

5.4.1. Lending substitution

A plausible alternative explanation for the observed reduction in consumer credit access is that banks' investment opportunities in other lending categories become more favorable, potentially due to the effects shown by Cohen et al. (2011). This could lead banks to reallocate credit away from disadvantaged consumers and toward, for example, commercial and industrial loans in a manner distinct from our political protection explanation (in which investment opportunity sets remain constant). Since banks' investment opportunity sets are unobservable, it is not possible for us to fully distinguish between these explanations.However, the "improved investment opportunities" explanation suggests that we should see an increase in lending volumes within the category with better investment opportunities and decreases in lending volumes in



(a) Majority-minority Census tracts.



(b) CRA-eligible Census tracts.

Fig. 8. Banking-Commerce-Judiciary committees versus other committees.
This figure presents the distribution of point estimates from regressions that includ8e 100 random sets of three committees (excluding Banking, Commerce, and Judiciary). Specifically, we estimate the *Supply ratio* effects for Senators who ascend to any committee chair and serve on one of three random committees. The figure uses the 100 placebo regressions to estimate the distribution of the additive effect of "*Powerful pol. + Powerful pol.* $\times$ *Majority minority*" or "*Powerful pol. + Powerful pol.* $\times$ *CRA Eligible*," panels **(a)** and **(b)**, respectively. We compare the distribution to the estimated effects of the combination of ascending Senators who serve on the Banking, Commerce, and Judiciary committees.

other categories. In contrast, the political protection explanation suggests that we should see a decrease in consumer or real estate lending coupled with increases in other lending categories.

Table 13 contains the results of these lending substitution tests. Panel A presents analysis for the entire sample of banks, while Panel B presents analysis for the subset of banks that only operate in one state. We examine the dollar volume of loans outstanding across various loan categories as well as the ratio of loans in each category to total loans outstanding. We find no differences in total loans outstanding across banks in shocked and nonshocked states. We find a modest decline in real estate lending of 1.7% following the ascension of a new Senate committee chair. However, we find no consistent differences in the volumes of consumer loans or commercial and industrial

Table 13
Powerful politicians and aggregate lending portfolios.
This table shows the effect of a Senator's ascension shock on lending using OLS regressions. The unit of observation is a bank-state-quarter, as in Table 12. *Powerful pol.* is a binary variable defined at the state-quarter level that takes the value of one in the two years following an ascension shock and zero otherwise. Panel A presents analysis for the full sample of banks, while Panel B presents analysis for banks that operate in a single state only. Control variables (all lagged by one quarter) include ln(Assets), the equity-to-assets ratio, and the ratios of total loans and total deposits to total assets. Standard errors clustered at the state level are presented in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels respectively.

Panel A

Data set:	Call Reports						
Sample:	All banks						
Dependent variable:	Ln Total loans	Ln secured real estate	Ln commercial and industrial	Ln consumer	Real estate / total loans	Commercial / total loans	Consumer / total loans
Powerful pol.	0.000397	−0.0168*	0.0111	−0.0108	−0.00653*	−0.00429	0.00451
	(0.00290)	(0.00916)	(0.0198)	(0.0159)	(0.00386)	(0.00405)	(0.00315)
Controls	x	x	x	x	x	x	x
Year-quarter FE	x	x	x	x	x	x	x
State FE	x	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x	x
Bank-state-quarter observations	439,826	436,868	429,569	435,717	439,826	439,826	439,826
R-squared	0.995	0.989	0.960	0.955	0.893	0.766	0.865

Panel B

Data set:	Call Reports						
Sample:	Single-state banks						
Dependent variable:	Ln total loans	Ln secured real estate	Ln commercial and industrial	Ln consumer	Real estate / total loans	Commercial / total loans	Consumer / total loans
Powerful pol.	−0.000607	−0.0202*	0.0133	−0.0178	−0.00723*	−0.00270	0.00408
	(0.00343)	(0.0103)	(0.0224)	(0.0177)	(0.00421)	(0.00443)	(0.00327)
Controls	x	x	x	x	x	x	x
Year-quarter FE	x	x	x	x	x	x	x
State FE	x	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x	x
Bank-state-quarter observations	388,491	385,822	379,013	385,147	388,491	388,491	388,491
R-squared	0.990	0.981	0.924	0.919	0.894	0.768	0.877

loans following the ascension of a new Senate committee chair. Given that total lending remains flat, this suggests that banks are reallocating credit from real estate to other loan categories. Hence, while we cannot rule out the possibility that banks' investment opportunities are changing as the result of a Senator's recent ascension, our results are more consistent with politically protected banks reducing credit supply to disadvantaged borrowers and reallocating this credit across other lending categories.

5.4.2. Employment conditions

Cohen et al. (2011) also find that political power increases government spending, which in turn affects labor markets. Cohen et al. (2011) use Compustat data to show that private sector employment declines by approximately 1% starting three years after the committee chair rotation. As such, a plausible alternative explanation for our findings is that adverse employment outcomes would make it more difficult for households to obtain credit.

However, there are several reasons why these labor market effects are unlikely to cause the reductions in credit access we show. First, though employment in Compustat firms declines, the net effect of government spending shocks on total employment (including public sector employment and employment in privately owned enterprises) could be positive, negative, or zero. Using state-level macroeconomic data, we show that there is no evidence that employment or personal incomes increase or decline in the years following Senate chair ascensions (see Appendix Table A.8, Panel A). We also employ micro-level data on household employment and income from the PSID and the CPS. Using these data sets, we examine whether Senator ascensions affect the probability that households report an unemployment spell, an increased duration of unemployment, or lower earnings. We find that there are no differences in the likelihood or the duration of unemployment in the two, four, or six years following a Senate ascension (Tables A.9 and A.10 in our Internet Appendix). Moreover, we find that (log) weekly earnings (from the CPS) do not change and that (log) family income (from the PSID) weakly increases following a Senate ascension. These results provide substantial evidence that our results are not driven by negative labor market shocks.

Next, we use the FRBNY CCP/Equifax data to consider the effects of Senate chair ascensions on employment-relevant credit outcomes. Households are likely to increase credit demand to smooth consumption during unemployment spells. However, we do not find evidence that Senator ascensions increase the number of credit applications (see Appendix Table A.2). Furthermore, our main tests of Senate ascensions on credit access (e.g., Table 3) include county-by-quarter fixed effects, which control for time-varying changes in local economic conditions, such as labor market shocks. As such, the labor market effects in Cohen et al. (2011) would have to differentially affect communities protected by fair-lending regulations. We also highlight our findings on the discontinuous decline in credit access in neighborhoods that are eligible for CRA lending. Labor demand shocks are unlikely to align precisely with the discrete income thresholds that make neighborhoods eligible for CRA lending, particularly because the eligibility threshold in each MSA is at a different income level. Collectively, these results suggest that changes in labor market conditions or other local economic conditions cannot explain our findings.

5.4.3. Catering to political voting blocs

Finally, another possible explanation for our findings is that the reduction in credit access is caused by politicians catering to specific voting blocs. For instance, minority populations in the US prefer to vote for Democrats (e.g., since 1992, 80%–82% of black Americans, 50%–56% of Hispanic Americans, and 40%–44% of white Americans lean towards the Democratic party.[18] Because racial minorities tend to support Democrats, Republican Senators may be less concerned if lenders reduce minority constituents' access to credit. To test this possibility, we examine whether there are larger reductions in credit access when the Senate committee chair is a Republican.

We use the FRBNY CCP/Equifax data to estimate the effects of powerful Democrats and powerful Republicans on credit access. Broadly, we find that both powerful Republicans and powerful Democrats are associated with negative effects on credit access, which contrasts with this alternative explanation (see Table A.11 of the Internet Appendix).

6. Conclusion

Our paper studies how the scope for political interference affects lenders' compliance with fair-lending regulations. To do so, we combine a long history of shocks to the political standing of US Senators and a proprietary panel data set of consumer credit histories covering a 5% random sample of nearly the entire US population since 1999. We test whether Senators' ascensions to the chair position of powerful Senate committees affects consumer credit access in Senators' home states relative to other, unaffected states.

We find that increased political power decreases consumer credit access in the Senator's state by an average of 4.5% to 8% relative to unaffected states. Moreover, the reduction in credit access is concentrated among historically disadvantaged borrowers (racial minorities and applicants with poor credit histories). These results are robust to increasingly stringent fixed effects and are stable across states and over time.

Our results are consistent with a political protection hypothesis whereby banks have less regard for regulatory compliance when they are represented by powerful politicians. Consistent with this explanation, we find that the largest reductions in credit access occur in Census tracts where lenders are subject to fair-lending regulations, namely the Community Reinvestment Act. We also find that the largest contractions in credit occur in areas that are politically unengaged, while the effects are amplified in regions with a large proportion of politically connected banks. The effects are also amplified when a newly powerful Senator chairs one of three Senate committees (Banking, Commerce, and Judiciary) that possess direct oversight of fair lending regulations. Additionally, we find that the applicants who receive credit following political power shocks tend to be of higher observable credit quality than the applicants who receive credit prior to political power shocks. Finally, we find that banks become more profitable following these shocks. Collectively, these results suggest that more powerful political representation reduces lenders' incentives to comply with fair-lending regulations.

Our findings also highlight an important avenue for future research into the operations of lenders' decision-making process. Recent research has begun to investigate how lenders delegate decision-making authority within their organization, a topic that has heightened in importance given the rise of algorithmic ("fintech") loan processing (Buchak et al., 2018; Fuster et al., 2019). While our findings suggest that changes to banks' decision-making come from directives that originate in the banks' headquarters, the opaque organizational structure of lending institutions limits our investigation into the mechanics of banks' loan processing. We look forward to further research into this topic as new data sources become available.

[18] "A Deep Dive into Party Affiliation," Pew Research Center.

Supplementary material

Supplementary material associated with this article can be found, in the online version, at doi:10.1016/j.jfineco.2020.07.017.

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